

FINANCIAL SECTOR ASSESSMENT

RUSSIAN FEDERATION

JULY 2016

A joint IMF-World Bank mission visited the Russian Federation from March 15 to 31, 2016, to conduct an assessment under the Financial Sector Assessment Program (FSAP). The mission assessed financial sector risks and vulnerabilities, assessed the quality of financial sector supervision, and evaluated financial safety net arrangements. The mission also assessed financial inclusion for individuals, the role of the state in the financial sector, insurance sector development, and the payment system.

The team was led by Karl Habermeier, IMF and Aurora Ferrari, World Bank, and included Veronica Bacalu, Adrian Alter, Nazim Belhocine, Chady El Khoury, Dale Gray, Phakawa Jeasakul, Edda Ros Karlsdottir, Mikari Kashima, Fabian Lipinsky, Diarmuid Murphy, Katharine Seal (all IMF); Richard Britton and Richard Pratt (IMF experts); and Rinku Chandra, Pierre-Laurent Chatain, Jennifer Chien, Ines Gonzalez Del Mazo, Eugene Gurenko, Gynedi Srinivas, Alena Kantarovich, Jean Michel Lobet, Mai Nguyen, Tatiana Segal, Ilias Skamnelos (all WB); Alma Qamo (WB expert).



THE WORLD BANK

FINANCE & MARKETS GLOBAL PRACTICE

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Glossary

AML/CFT	Anti-Money Laundering and Combating of Financing Terrorism
AQR	Asset Quality Review
BCBS Principles	Basel Committee of Banking Supervision Principles
BCP	Basel Core Principles for Effective Banking Supervision
BTICS	Brazil, Turkey, India, China, and South Africa
CAR	Capital adequacy ratio
CBR	Central Bank of Russia
DIA	Deposit Insurance Agency
DIF	Deposit Insurance Fund
ECA	Europe and Central Asia region
EM	Emerging Markets
FAPM	Federal Agency for State Property Management
FATF	Financial Action Task Force
FMI	Financial market infrastructures
FSAP	Financial Sector Assessment Program
FSB	Financial Stability Board
FSD	Financial Stability Department
FSFM	Federal Service for Financial Markets
FX	Foreign exchange
GDP	Gross Domestic Product
GED	General Economic Department
IMD	Insurance Market Department
IMF	International Monetary Fund
IOSCO	International Organization of Securities Commissions
LCR	Liquidity coverage ratio
LOLR	Lender of last resort
MFIs	Microfinance institutions
MIS	Management information system
ML/TF	Money laundering and terrorism fighting
MoED	Ministry of Economic Development
MOF	Ministry of Finance
MTPL tariffs	Motor Third-Party Liability tariffs
NBCOs	Non-bank credit organizations
NCC	National Clearing Center
NII	Net interest income
NPL	Non-performing loans
NPSD	National Payment Systems Department
NSD	National Settlement Depository
OECD	Organization for Economic Co-operation and Development
P&A	Purchase and assumption
PEPs	Politically exposed persons
RAB	Russian Agricultural Bank

RUSSIAN FEDERATION

RF	Reserve Fund
RUB	Russian Ruble
RWA	Risk-weighted assets
SIBs	Systemically important banks
SMEs	Small and Medium Enterprises
SOBs	State-owned banks
SOEs	State-owned enterprises
T-bill	Treasury bill
VEB	Vnesheconombank
WB	World Bank

Preface

An IMF and a World Bank team visited the Russian Federation during March 15-30, 2016, to conduct an assessment under the Financial Sector Assessment Program (FSAP). The team was led by Karl Habermeier, IMF and Aurora Ferrari, World Bank, and included Adrian Alter, Veronica Bacalu, Nazim Belhocine, Chady El Khoury, Dale Gray, Phakawa Jeasakul, Edda Ros Karlsdottir, Mikari Kashima, Fabian Lipinsky, Diarmuid Murphy, Katharine Seal (all IMF); Richard Britton and Richard Pratt (IMF experts); and Rinku Chandra, Pierre-Laurent Chatain, Jennifer Chien, Ines Gonzalez Del Mazo, Eugene Gurenko, Gynedi Srinivas, Alena Kantarovich, Jean Michel Lobet, Mai Nguyen, Tatiana Segal, Ilias Skamnelos (all WB); Alma Qamo (WB expert). The mission assessed financial sector risks and vulnerabilities, assessed the quality of financial sector supervision, and evaluated financial safety net arrangements. The mission also assessed financial inclusion for individuals, the role of the state in the financial sector, insurance sector development, and the payment system.

At the Bank of Russia, the mission met with Ms. Elvira Nabiullina, Governor; Mr. Alexey Simanovskiy, First Deputy Governor; Mr. Dmitry Tulin, First Deputy Governor; Ms. Ksenia Yudaeva, First Deputy Governor; Mr. Vladimir Chistyukhin, Deputy Governor; Ms. Nadezhda Ivanova, Deputy Governor; Mr. Vasily Pozdyshev, Deputy Governor; Ms. Olga Skorobogatova, Deputy Governor; Mr. Mikhail Sukhov, Deputy Governor; and other high-level officials. In the Government, the mission met with Mr. Alexei Moiseev, Deputy Minister of Finance; Mr. Maxim Oreshkin, Deputy Minister of Finance; Mr. Nikolai Podguzov, Deputy Minister of Economic Development; and other high-level officials. The team also met with senior executives of local and foreign banks, insurance companies, microfinance institutions, payment system operators, as well as rating agencies.

The team would like to thank the authorities for the excellent cooperation and fruitful discussions.

EXECUTIVE SUMMARY AND KEY RECOMMENDATIONS

1. **The Russian economy is experiencing a protracted recession.** The sharp decline in oil prices has negatively affected growth, along with sanctions that have impaired access to international markets. These developments have exacerbated the pre-existing structural slowdown in growth and taken a toll on the banking system. The key risks include a weaker medium-term path for oil prices, the intensification of geopolitical tensions and sanctions, and a further slowdown in growth
2. **The authorities' policies have helped to keep the banking system stable, but risks remain.** The policy response has relied on a combination of liquidity provision, capital support, and temporary regulatory forbearance. Decisive efforts are underway to weed out weaker banks. The authorities' crisis management framework has been effective in ensuring stability during the ongoing protracted recession. The key risks include a weaker medium-term path for oil prices, the intensification of geopolitical tensions and sanctions, and a further slowdown in growth.
3. **To gauge accurately capitalization needs, a comprehensive asset quality review (AQR) is recommended.** Based on available information, stress tests show that the resources needed for adequate bank capitalization are manageable. If public funds are needed for recapitalization, there is sufficient fiscal space, provided that fiscal policy remains prudent. In the baseline scenario, certain banks are likely to require additional capital due to low profitability, increasing credit losses, and modest medium-term growth prospects. However concerns identified in the Basel Core Principles for Effective Banking Supervision (BCP) assessment about asset classification and valuation, and in the definition of related party lending, point to the need for a granular and comprehensive review of banks' asset portfolios.
4. **The CBR's framework for managing systemic liquidity risks has worked well, but faces a changing environment.** The banking system may move into structural excess liquidity in 2016 owing to the use of the Reserve Fund to finance the government deficit. If so, CBR would sterilize this excess liquidity to achieve its monetary and financial stability objectives. Issuance of T-bills by the government could be supportive in this regard. Going forward, efforts should focus on improving the completeness of the interbank market and the resilience of the system so that banks better self-insure and manage their risks in the market, rather than with CBR.
5. **With the transformation of CBR into a mega regulator, supervision of the financial sector has been enhanced.** Since 2013, CBR has overseen the banking system, securities markets, private pension funds, payment systems, insurance, and micro-finance institutions. This reform supports consistent regulation and supervision of almost the entire financial system.
6. **Bank regulation and supervision has improved in recent years, but several areas require further action, including the legal regime for related party lending.** The mission conducted an assessment of the Basel Core Principles for Effective Banking Supervision (BCP), which identified five key areas for improvement: CBR's relations and interactions with the external auditing profession; notification and reporting requirements for banks and professional service providers; the legal regime for related party lending; management of country and transfer risks; and oversight of operational risks. In

addition, the implementation of risk-based supervision is in progress, including for Anti-Money Laundering and Combating of Financing Terrorism (AML/CFT), is in progress.

7. **The securities and insurance markets are currently small, and modern regulation and supervision would support their future growth.** CBR is rapidly implementing legislative and regulatory changes in line with International Organization of Securities Commissions (IOSCO) standards. Further action is desirable with respect to the identification of conflicts of interest; protection of clients; auditor independence; risk management; and disclosure. Insurance regulation and supervision is still largely rules-based. Key areas for improvement are a move to transparent risk-based supervision, greater use of actuarial techniques, and the development of specialized insurance expertise in CBR. Policy measures beyond oversight could be taken to promote the growth of the insurance sector, such as liberalization of MTPL tariffs.
8. **Payment infrastructure and other payment systems are well developed, but some aspects need refinement.** Given its systemic importance, the National Settlement Depository (NSD) should test the adequacy of its revised business continuity plan to ensure that end-of-day settlement is completed under all adverse scenarios. The National Clearing Centre (NCC) should introduce intraday variation margin calls.
9. **There has been considerable progress in developing its macroprudential framework, but the existing legal framework limits the tools available.** Current institutional arrangements for financial stability appear to be effective, and macroprudential tools have been used to address identified systemic risks, mainly in retail lending. Legislative changes to provide CBR with a comprehensive set of macroprudential tools would be desirable.
10. **Improvements in the bank resolution framework will be critical to maintaining financial stability and minimizing the use of public funds.** The authorities have taken swift action to remove weaker banks from the system, with a particular focus on anti-money laundering. However, the frequent use of open bank resolution that is funded via CBR loans via the Deposit Insurance Agency (DIA) could give rise to moral hazard and also increase the overall cost of resolution. In order to minimize the use of public funds and improve the effectiveness of the resolution framework, additional tools will need to be introduced and operational changes will be required. The use of CBR loans to fund bank restructuring and resolution should also be reconsidered and replaced by federal budget funds.
11. **Beyond the short-term risks, the diversification and deepening of the financial sector are priorities.** The financial sector is very bank centric and has significant variations in financial inclusion between urban and rural areas and across income levels. The banking sector provides a relatively low level of credit to the economy.
12. **The state continues to be a major player in the banking system, but its role can be improved.** Privatization of state owned banks has been gradually progressing, and could continue as economic conditions permit. There is also room to improve the composition and functioning of the boards of state-owned banks, particularly to increase the independence of directors. The structure of state ownership in the financial sector is dispersed and complex, and there may be merit in simplifying it.
13. **Measures need to be taken to reduce the significant variation in financial inclusion.** A comprehensive financial inclusion plan could help to orient policies in this area. Simplifying the

regulatory framework for financial institutions and delivery models that can reach the underserved may also be helpful, for example by establishing a more functional tiered banking system and differentiating payday lending from microfinance and supporting the expansion of the latter.

Russian Federation: FSAP Main Recommendations¹

Recommendations and Authority Responsible for Implementation	Timeframe
Banking Stability	
Conduct an Asset Quality Review to ensure adequate bank capitalization (CBR)	Short to medium term
Liquidity Management	
Enhance framework to encourage banks to self-insure and manage their risks in the market (CBR)	Short term
Review FX repo framework, and formalize lender of last resort (CBR)	Short term
Re-establish T-bill program and coordinate sterilization of excess liquidity (MOF, CBR)	Short term
Ensure adequate realized capital through legal amendments as needed (CBR)	Medium term
Financial Sector Oversight and Regulation	
Require prior approval for banks' domestic investments in nonbank institutions (CBR)	Short term
Issue specific requirements for management of banks' country and transfer risks (CBR)	Short-term
Upgrade framework for relations with and use of banks' external auditors (CBR)	Short term
Strengthen further the legal framework applicable to related parties	Short term
Upgrade framework for prudential oversight of banks' operational risk (CBR)	Short term
Bring securities and insurance regulation and supervision into line with international standards (CBR)	Medium term
Ensure the effective implementation of the AML/CFT framework (Rosfinmonitoring, CBR, MOF)	Short term
Macroprudential Policy	
Adopt legal changes to provide a comprehensive policy toolkit (CBR, MOF)	Short to medium term
Crisis Management and Resolution	
Review the use of public funds to finance the DIA for resolution purposes to be provided by the federal government. If it is necessary to use CBR funds, the federal government should provide an indemnity (CBR, MoF).	Short term
Establish a funding mechanism for recovery of the costs of providing temporary public financing through levies on the financial industry (CBR, MoF).	Medium term
Introduce the full range of resolution powers and safeguards recommended by the FSB Key Attributes, including by implementing legal and operational changes needed to make purchase and assumption (P&A) an effective resolution tool (CBR, MoF).	Short term
Role of State in the Banking Sector	
Legal reforms to increase SOB board effectiveness (MOF, CBR)	Short term
Continue gradual privatization of state-owned commercial banks (MOF, CBR)	Medium term
Reconsider current dispersed and complex ownership structure of SOBs; possible transfer of SOBs to FAPM (MOF, CBR)	Medium term
Financial Inclusion	
Facilitate more workable tiered banking structure (CBR)	Medium term
Differentiate payday lending from microfinance and support expansion of traditional microfinance via commercially operated MFIs (CBR, MoED)	Short term
Insurance Sector Development	
Liberalize MTPL tariff policies (MoF)	Medium term

¹ A list of all of the recommendations is in Annex 1.

MACRO-FINANCIAL BACKGROUND

A. Macroeconomic Setting and Outlook

14. **The Russian economy is experiencing a protracted recession.** The sharp decline in oil prices and reduced access to international capital markets due to sanctions have adversely affected growth, with real GDP declining by 3.7 percent in 2015. Sanctions, market turbulence, and the ensuing recession have taken a toll on the banking system. Retail deposit outflows created liquidity pressures, asset prices declined, and banks' net interest margins deteriorated owing largely to higher policy rates. Ruble depreciation and the economic downturn put further pressure on banks, while credit growth decelerated sharply, in particular for the consumer segment.

15. **The authorities took a wide range of policy measures to preserve banking stability.** In December 2014, the authorities introduced an anti-crisis package comprising FX liquidity provision, temporary regulatory forbearance measures, and a capital support program for larger banks and smaller regional banks (as of April 2016, 30 banks benefited from the capital support program).

16. **The anti-crisis measures have been successful in stabilizing the banking system, and the authorities are now focused on exiting the program.** In the first half of 2015, confidence strengthened, helped by a temporary recovery of oil prices and a tentative easing of geopolitical tensions. The subsequent higher volatility of the ruble starting in mid-2015, which reflected further moves in oil prices, has had little effect on confidence in the banking system. No new public resources from the anti-crisis package are expected to be used to inject capital into banks, while CBR continues to monitor the measures required from recipient banks. On January 1, 2016, most of the remaining regulatory forbearance measures were lifted.

17. **Nonetheless, the banking system faces continuing challenges.** Profitability has deteriorated, interest margins remain low, and credit quality continues to worsen. Reported nonperforming loans have increased from 6 percent at end-2013 to 8.6 percent in January 2015. Reported capital adequacy ratios, supported by capital injections under the government capital support program, hovered around 13 percent of risk weighted assets in 2015, before declining to about 12 percent in early 2016 as regulatory forbearance was removed. CBR continues closing banks, most of them small, in many cases due to weak balance sheets or violation of regulations (including under AML/CFT legislation).

18. **CBR's operational framework is shifting from containing systemic liquidity risks to managing the consequences of the use of the Reserve Fund (RF).** Starting in early 2015, CBR began tightening access to its ruble repurchase and secured loan transactions in order to sterilize the government's withdrawals from the RF – a budget stabilization fund – and avoid undue volatility in short-term rates.

19. **The corporate sector is adjusting to lower oil prices but performance is uneven.** Ruble depreciation has cushioned the revenues of energy exporters from lower oil prices. However, the corporate sector as a whole shows signs of weaknesses. Debt servicing capacity has been falling, while smaller companies show weaker profitability and higher leverage.

20. **The outlook for 2016 is for continued recession, while medium-term prospects remain weak.** Relatively low oil prices and tighter fiscal policy are projected to result in a GDP contraction of 1.5 percent in 2016. The more competitive exchange rate and the normalization of financial conditions will provide some support to the economy, with growth expected to turn positive in 2017. However, real income growth will remain slow and households continue to reduce their borrowing. Weak demographics and slow productivity growth are expected to limit potential growth to 1½ percent over the medium term.

21. **Risks remain significant, but existing macroeconomic buffers will help limit their effects.** The key risks include a weaker energy prices and the intensification of geopolitical tensions. The materialization of these risks would deepen the recession and increase balance of payments pressures. Although most corporates have enough foreign exchange to cover their short term external debt obligations and are hedged against exchange rate risks, deleveraging could reduce investment and thus potential output. Weak growth will also weigh on the financial sector. Even though more capital may be needed, the banking sector is relatively small as a share of GDP, and significant government participation in the system has made it easier for the authorities to manage systemic stress. Also, Russia has a floating exchange rate, large official foreign exchange reserves, a positive net international investment position of about 20 percent of GDP, and a current account surplus. Balance sheet currency mismatches seem low and do not appear to impose a constraint on exchange rate flexibility. Public sector debt is low and financing needs are moderate.

B. Financial Sector Structure

22. **The Russian financial sector is relatively small.** Banks dominate the financial system, with assets amounting to 103 percent of GDP at end-2015. Pension funds, insurance, and mutual funds have assets of 3.6, 2.2, and 3.3 percent of GDP, respectively. The payments infrastructure is well developed. The ratio of bank credit to GDP is the lowest among a group of comparator countries composed of Brazil, Turkey, India, China, and South Africa (BTICS). Russia's overall financial development index (0.58) is higher than the Emerging Market (EM) average (0.37), but slightly lower than the BTICS average (0.64).² Russia scores much higher than the BTICS in financial market development, reflecting higher access and efficiency. Financial market depth is slightly lower than in the BTICS, but much higher than the EM average. Financial institutions, however, are less efficient and deep than in the comparator groups, while access to financial institutions is about the same.

23. **The banking sector is heavily concentrated.** The largest 20 banks account for three quarters of all banking system assets, while the top 10 banks by assets extend about 70 percent of total lending. Government-related banks, dominated by Sberbank and VTB Group, accounted for 60 percent of system assets at end-2015. The top 10 private universal banks hold 16 percent of system assets, foreign banks 13 percent, and the remaining 11 percent are in specialized and small banks. Many of the small banks operate in monoindustrial cities and are often important in their respective regions, complicating efforts to further consolidate the banking sector.

24. **State ownership in the banking sector has increased in recent years, and Sberbank continues to dominate the market.** The 1990's saw a decrease in state ownership, but the failure of

² For a description of the index, see Sahay, et al (2015). "Rethinking Financial Deepening: Stability and Growth in Emerging Markets." Staff Discussion Note No. 15/8 (Washington: IMF).

systemically important private commercial banks in 1998 triggered a reversal. The 2008 global financial crisis further strengthened the dominance of majority state-owned banks (SOBs), which provided a safe harbor and served as bail-out vehicles during a turbulent period. Sberbank alone accounts for over 45 and 24 percent of total retail and corporate deposits, respectively, with VTB Bank capturing another 12 and 14 percent, respectively. With over 16,000 branches, Sberbank is the only bank present throughout the country.

BANKING SECTOR STABILITY

A. Performance

25. **Despite recent stress, and base on reported information, reported capital adequacy remains adequate on average, and liquidity has improved.** The capital adequacy ratio of banks was broadly stable in 2015 at about 13 percent, thanks to the capital injection program and regulatory forbearance. After forbearance was reduced in early 2016, the CAR fell to 12 percent. Liquidity has improved, with the loan-to-deposit ratio decreasing to 115 percent by end-2015 from its recent peak of 125 percent, reflecting increased retail deposits, falling credit growth, and government spending out of the RF.

26. **Loan portfolio quality and profitability have deteriorated.** The share of NPLs has now reached 8.4 percent at end-February 2016, with household overdue loans reaching 8.9 percent of total loans, compared to 6.5 percent for the corporate sector. NPLs are relatively evenly distributed, pointing towards weak macroeconomic conditions overall. However, the level of NPLs are somewhat higher for mid-sized and small banks. Bank profitability has dropped markedly (return on assets reached 0.3 percent at end-2015), reaching levels similar to those during the global financial crisis. Several factors explain these developments. On the revenue side, net interest margins have contracted, reflecting slower asset growth and higher policy rates. In addition, net fees and commissions fell in line with net interest income (NII). On the expenditure side, non-interest expenses declined at a lower rate than NII, while provisions have risen sharply owing to the deterioration in loan portfolios.

27. **Connected lending and loan concentration continue to be of concern, with possible unrecognized implications for asset quality.** Large exposures, at 264 percent of capital in January 2016, are similar to those in comparator countries. However, the data may understate the extent of related party lending: a narrow definition of related parties and connected relationships, coupled with weak implementation of the concept of beneficial owner, prevents CBR from linking all exposures. Stricter rules were published in 2014 but implementation has been postponed twice until January 2017.

28. **Performance across the system is uneven and medium-sized banks appear particularly vulnerable.** Banks in the 21–50 segment, by asset size, show the weakest performance, with a negative return on equity of about 25 percent in 2015Q4. These banks did not benefit from the capital injection program and were particularly exposed to underperforming unsecured consumer lending. Two banks in this segment are currently undergoing open bank resolution. Profits of the whole system remained slightly positive owing to the performance of a few of the largest banks.

29. **Banks' net FX exposures appear to be within prudent limits.** Banks are adhering to regulatory limits on net open FX positions, with a total overall limit of 20 percent of capital. The net

foreign asset position of banks has continued to improve and reached USD 100bn at end-2015, reflecting foreign deposit withdrawals and deleveraging following the imposition of sanctions.

30. **CBR is implementing Basel III requirements.** It has identified and published a list of 10 systemically important banks (SIBs), using the methodology recommended by the Basel Committee, and has adopted a plan for a gradual phase-in of the Basel III liquidity coverage ratio (LCR) and capital surcharges. In particular, CBR plans to increase the LCR to 70 percent from about 60 percent in October 2015, and a subsequent gradual increase to 100 percent is envisaged. CBR has also lowered bank minimum capital requirements toward Basel minima, reducing the core Tier 1 capital minimum from 5 percent to 4½ percent and total capital from 10 percent to 8 percent of RWAs. With CBR's implementation of Basel III requirements, lower regulatory requirements will offset the stricter definition of capital and higher risk weights for CAR calculation, estimated at 0.6 percentage point, and the introduction of new capital buffers (0.625 percent for capital conservation and 0.15 percent for the systemic surcharge), improving the loss absorption capacity of banks' reported capital.

31. **The banking sector is exposed to significant risks, asset quality being the largest.** Even in the absence of further macroeconomic deterioration, the materialization of credit losses could be significant. There also is uncertainty about the strength of loan portfolios. CBR inspections of asset quality have revealed violations, including lending to shell companies, overvaluation of collateral, misreporting, and unreliable financial statements. Non-performing assets may thus be higher than reported, reflecting among other factors (i) lower quality of restructured loans; (ii) potentially under-provisioned and under-collateralized portfolios; and (iii) transfer of distressed assets to affiliated off-balance sheet entities that are not subject to consolidated supervision.

B. Banking Sector Resilience

32. **Several stress tests were performed—top-down (TD) by the CBR, bottom-up (BU) by banks, and TD by staff.** The TD tests had a horizon of five years, while the BU test had a horizon of one year. The resilience of the system was assessed in terms of the regulatory Core Tier 1 ratio of 4½ percent and total CAR of 8 percent. The exercises covered a wide range of risks, including credit, market, interest rate, and liquidity.

33. **The stress test results suggest that tail events such as the V-shape and L-shape scenarios would pose additional challenges to the banking sector:**

- CBR's TD exercise shows that under the V-shape and L-shape scenarios, the aggregate capital deficit—defined as the amount of additional capital needed to bring all banks up to at least the 8 percent CAR minimum—peaks at, respectively, 1.0 and 0.8 percent of GDP over the five year horizon. In the V-shape scenario, the average system-wide CAR remains at about 9 percent, above the regulatory minimum, with 140 banks (30 percent of system assets) breaching minimum capital requirements. In the L-shape scenario, the average system-wide CAR remains at about 10 percent, with 108 banks (about 29 percent of system assets) breaching minimum capital requirements. Credit losses account for most of the impact, followed by losses from market risk. NPLs increase by 8.1 and

6.5 percentage points cumulatively in the V-shape and L-shape scenarios during the first two years of the stress test horizon.³

- The BU analysis shows that CBR has a more conservative assessment of the risks than do banks. Banks participating in the BU exercise (with a one year horizon) report a capital deficit under the V-shape scenario that is only 2/5 as large as in the comparable CBR TD exercise. In the L-shape scenario, the proportion is even lower at 1/6, while in the baseline scenario, the proportion is only 1/20. Only two banks breach the capital threshold in the BU exercise, compared with six banks in CBR's TD (L-shape scenario).
- The TD exercise performed by staff points to an aggregate capital deficit, defined as the peak capital deficit during the stress test horizon, ranging from 2.4 to 4.6 percent of GDP in the V-shape and 2.7 to 4.4 percent of GDP in the L-shape scenario, by the end of the five-year horizon. The lower end of the ranges corresponds to the stress test results without any adjustment to initial asset quality (see above), while the higher end includes the adjustments.⁴ NPLs increase by 4.8, 8.9, and 9.3 percentage points cumulatively during 2016–17 in the baseline, V-shape, and L-shape scenarios, respectively. Asset quality adjustments increase NPLs by an additional 3.3 percentage points on impact at the beginning of the stress testing period. Some large state-owned, private, and foreign banks breach capital ratios under the V-shape and L-shape scenarios (without asset quality adjustment), pointing towards relatively weaker banks in each category.

34. **Given the BCP assessment findings about asset classification and valuation, and in the definition of related party lending, a granular and comprehensive AQR is recommended.** Stress tests and the Basel Core Principles (BCPs) assessment (see below) identified room for improvement in asset classification and valuation and in the definition of related party lending. A comprehensive review of banks' asset portfolios and collateral valuations could thus play a crucial role in putting the banking sector on a stronger footing, including by addressing related party lending. The AQR could be conducted by CBR itself if the use of third-party expertise is not possible for legal reasons. The recent creation of a CBR unit specialized in risk analysis is welcome in this connection. Given the level of effort involved, the AQR could be focused to start with on those banks deemed to present the highest risks.

³ The stress testing methodologies model loan impairment charges, with NPLs growing in line with loan impairment charges. As CBR did not provide NPL numbers under different scenarios, staff calculated NPLs based on CBR's credit loss estimates.

⁴ These estimates were subject to robustness checks on the estimated parameters. Risk weights were assumed to be constant over time and across banks. Two risk weight values were utilized: 90 percent (standard) and 100 percent (prudent). Under the prudent approach, the higher risk weight value increases estimated capital shortfall by 0.4 percentage point, with all other factors included.

Box 1: Stress Test Design

Several stress tests were performed—top-down (TD) by the CBR, bottom-up (BU) by banks, and TD by staff. The TD tests had a horizon of five years, while the BU test had a horizon of one year. The resilience of the system was assessed in terms of the regulatory Core Tier 1 ratio of 4½ percent and total CAR of 8 percent. The exercises covered a wide range of risks, including credit, market, interest rate, and liquidity:

- The TD stress test performed by CBR assessed the solvency of 681 Russian banks. CBR analyzed banks' asset quality, income, and capital under three macroeconomic scenarios: baseline, V-shape, and L-shape. This stress test aimed at examining the exposure of individual banks to various risk factors and at determining whether additional capital might be needed.
- The BU stress test covered 12 banks, including 10 SIBs, accounting for two thirds of banking assets.
- The TD stress test performed by staff used publicly available data for 37 banks covering about 82 percent of total banking assets. It was based on international financial reporting standards (IFRS) data, which somewhat limits the impact of regulatory forbearance. This exercise covered only credit and interest rate risks in the banking book.

In addition, CBR carried out single-factor tests and system-wide liquidity stress tests. The liquidity stress test included three scenarios (mild, severe, very severe) with a test horizon of one month. The scenarios entail increasingly large outflows from most liability categories and increasingly high discounts on non-liquid asset categories. The scenarios assume no CBR or interbank financing. The liquidity stress tests assess the extent to which liquidity outflows exceed the available liquid assets.

The macroeconomic stress scenarios quantified the impact of negative oil price shocks calibrated to tail events in the oil price probability distribution. Brent futures prices as of January 12, 2016 indicated that prices were expected to fall in 2016 below US\$ 19 per barrel with 5 percent probability and below US\$25 per barrel with 20 percent probability. These oil price assumptions underlie the V-shaped and L-shaped stress scenarios and strongly affect real GDP and unemployment relatively to the baseline scenario. The stress scenarios also entail further large exchange rate depreciation, in view of the relationship between oil prices and RUB/US\$ rate. Inflation and short-term interest rates respond strongly to the exchange rate depreciation. In the medium term, the scenarios are conservative. Brent recovers only moderately to US\$40 and US\$37 in 2020 in the V-shaped and L-shaped stress scenarios, and real GDP growth converges to one percent in both scenarios, half percentage point below 2020 baseline growth.

Adjustments were made to provisioning levels in the staff's TD stress test. Staff estimated the effect on capital adequacy of weak restructured loans and under-provisioning using aggregated data from CBR and information from market participants. First, staff estimated the impact of the migration of a certain part of restructured loans into lower loan categories associated with higher provisioning rates. While restructured loans stand at about 30 percent of large loans, one third of the restructured loans were estimated to be of weaker quality at end-2015. The migration of such loans resulted in an increase of loan impairment charges by 1 percentage point. Second, staff accounted for under-provisioning in each loan category, with the loan impairment charges increasing by an additional 2.2 percentage points. The overall effect of restructuring and under-provisioning was thus assessed to be about 3.3 percentage points. These uncertainties about asset quality suggest that even in the baseline scenario, banks would benefit from higher capital and stricter provisioning practices.

C. Liquidity Management

35. **CBR has begun reducing the amount of liquidity provided to the banking sector starting in early 2015, but continued vigilance is needed as it enhances its framework in the steady state.**

CBR liquidity provision—both domestic currency and foreign exchange—helped banks and markets weather the initial period of severe stress. In the course of 2015, the central bank began reducing the amount of liquidity which was provided to manage the systemic needs of the system, a task which has been helped by Reserve Fund (RF) spending. Going forward, the possible need to sterilize the financing of the government deficit from the Reserve Fund during 2016-17 may require increased co-ordination with the government, while money market segmentation could mean that short-term CBR refinancing

may co-exist with aggregate liquidity absorption. The exit from the CBR's systemic liquidity provision provides an opportunity for CBR to redraw the boundaries of its monetary policy instruments, improve its risk controls and procedures, and catalyze banks to hold more high quality assets and better manage their liquidity in both domestic and foreign currency.

36. **CBR has scope to further strengthen its operational framework.** For long-term operations, the CBR would be a market rate taker. Early pre-payment options can be eliminated to encourage a broader distribution of liquidity in the market. CBR can improve its risk controls, particularly for non-marketable collateral. Third-party bank guarantees should be eliminated: even though they reduce idiosyncratic risk, they can mask systemic risk. Enhancing CBR's operational framework could help to better protect the CBR's balance sheet and manage system risks in the market.

37. **The FX facility introduced in late 2014 was successful, but needs to be carefully withdrawn.** This facility was highly successful in containing FX spillovers into the RUB market. Now that conditions have improved, CBR can continue withdrawing from its use, while taking care to maintain financial stability. Possible actions include changes to pricing, maturity, and access; the introduction of collateral concentration limits, haircuts based on CBR risk tolerance, and requiring repayment with counterparty FX buffers are restored (to avoid overreliance on CBR). Nonetheless, flexibility in the use of this instrument needs to be retained in case market-wide strains recur.

38. **The government could re-establish benchmark treasury bills (t-bills) at the short-end of the curve.** Introducing Ministry of Finance (MoF) t-bills would help to safeguard the CBR balance sheet, support the transmission of monetary policy, allow for a better separation of strategic debt management decisions from short-term liquidity management considerations, and reinforce the MoF's role in developing the securities markets.

39. **Polices governing CBR's realized capital reserves should be legally formalized.** The legal framework should provide for central bank solvency to underpin CBR's capacity to independently and credibly carry out its policy functions. Legally formalizing the framework would also discourage the offloading of additional risks onto the CBR, and lay the groundwork for the provision of government indemnities for the risks CBR does take on.

40. **Going forward, there is a need to deepen the interbank market, also to encourage banks to better self-insure and manage their risks.** Reforms should focus on enhancing banks' incentives and capacity to fund in markets. CBR policy in this area, supported by the government, could be guided by the following considerations: (i) continue to resolve problematic institutions; (ii) refrain from using distortionary actions such as CBR guarantees; (iii) recalibrate facilities to incentivize holdings of marketable liquid assets; and (iv) encourage term market funding; and (v) foster covered bond and commercial paper markets.

FINANCIAL SECTOR OVERSIGHT AND REGULATION

A. Institutional Setup

41. **With the transformation of CBR into a mega regulator, financial supervision has been enhanced.** Since 2013, CBR has overseen the banks, securities markets, national payment system, private pension funds, insurance, and micro-finance institutions. This reform has supported consistent regulation and supervision of almost the entire financial system.

B. Banking

42. **CBR has made far-reaching changes to the legal and supervisory landscape in recent years, and a number of previous limitations have been addressed.** Past impediments to cooperation and collaboration based on supervisory information exchange (domestic and cross border) have been eliminated. The scope and application of consolidated supervision has been enhanced. CBR is now granted the power to impose standards for the risk management of banks and banking groups. CBR has also sharpened its risk focus by differentiating its approach to supervision in the past few years, including by establishing a dedicated division to supervision of systemically important banks. CBR also has recently issued regulations that focus on the quality of risk management and governance within firms. The new regulation will introduce, for example, scrutiny of the risk appetite in firms.

43. **Despite legislative amendments and improved supervisory practices, several areas for improvement have been identified.** These primarily relate to implementing policies and practices that place an emphasis on an early intervention approach that seeks to keep violations from emerging. Five high priority areas have been identified as part of the BCP review.

44. **First the legal framework governing CBR's relationship and interactions with the external audit profession is materially deficient.** Currently, the CBR does not have adequate powers with respect to the relationship with external auditors, including: the powers to reject or rescind the appointment of an external auditor who has inadequate independence or experience or who does not meet professional standards; to ensure rotation of the external auditor of a bank or banking group; and to meet with the audit firm to discuss matters pertaining to a supervised institution.

45. **Second, the flow of information has improved, but there are still some limitations.** Some elements of the Basel Core Principles are not met because there are no requirements for banks or professional service providers, such as external auditors, to notify CBR in advance, or at all, of material information that is relevant to the soundness and stability of the supervised bank. In addition, a professional third party, such as an auditor, would have no legal protection. The onus is therefore on CBR to raise the relevant question at the right moment to uncover the information it needs. This responsibility needs to be shared more evenly with the banks and the external auditors. Moreover, there needs to be a clear expectation that the bank and any auditor or professional understands that there is a responsibility to provide CBR with any relevant information in a timely manner, even if information pertains to a topic that was not specifically defined within the scope of an inspection mandate. Legal protections also need to be put in place as necessary.

46. **Third, the legal regime applicable to related parties has been improved, but further action is needed.** The law has been amended to expand the scope of related parties that includes a person or a group of people affiliated to the bank. However, the regulatory framework does not require that lending to affiliates be on same terms and conditions as those generally offered to the public. CBR made recommendations along these lines, but they are not binding and thus not enforceable. Additionally, legal prohibition should be considered for related party transactions performed on more favorable terms than corresponding transactions with non-related counterparties. Further, in assessing connectedness, the concept of economic linkages has been introduced in the law but it will not be implemented before 2017.

47. **Fourth, the management of country and transfer risks needs to be improved.** There are limited requirements for management of country risk and transfer risk. As a result, minimum requirements for risk policies, processes and limits need to be substantially strengthened. There also are issues related to domestic investments in nonbank institutions, as the CBR Law does not establish requirements for banks to seek prior CBR approval for these transactions. As a result, CBR is not in a position to measure the possible impact of acquisitions on a bank's condition and is less able to supervise on a consolidated basis.

48. **Fifth, oversight of operational risks needs to be strengthened.** The rules governing operational risk are determined by recommendations from CBR. These recommendations should be converted into binding instruments with a view to establishing a general operational risk management framework that is comprehensive and mandatory. For example, CBR has recommended that the industry adopt the BCBS Principles for the sound management of operational risk, but these recommendations are not enforceable. Reporting by banks also needs to be improved, and notably banks should be obligated to promptly notify CBR when a "significant" operational risk event occurs. Finally, CBR should be empowered to establish outsourcing requirements for credit organizations.

C. Financial Markets

49. **After completing a two-year process of assuming the powers and functions of the mega-regulator, CBR has been focusing on raising the related standards.** This includes the adoption of international standards as established by IOSCO and the corresponding changes in the Russian market and legal system. In addition to its new supervisory functions covering financial markets and professional market participants, CBR is also pursuing a developmental role for non-bank financial markets with an emphasis on developing proportionate regulation and optimizing the regulatory burden on market participants. This is a challenging medium to long-term goal, while also ensuring that standards are raised.

50. **The effective implementation of the most recent legislative and regulatory changes in financial market oversight is yet to be tested.** The recently adopted new legislation has strengthened considerably the CBR's ability to effectively regulate the financial markets closer to international standards. However, evidence of the effective implementation of the recent measures was not yet available at the time of the assessment. Some of the most recent regulatory changes (e.g., on credit rating agencies) are clearly based on international standards. In other areas, further action is required: identification of conflicts of interest; protection of client interests; auditor independence; management of professional market participants; and enabling supervisors to provide guidance on risk management,

internal control systems, and on the appropriate checks and balances within licensees. Similar action is necessary regarding the issuer's prospectus and continuous disclosure regimes for listed companies. These steps could make a significant contribution to increasing the investor base.

51. **CBR has a comprehensive set of enforcement powers and is moving to a more risk-based approach to supervision and enforcement.** All market intermediaries must be licensed and are subject to an evaluation by CBR, but the criteria need to be enhanced and the capital requirements need to be tailored to risk. In performing its functions, CBR has full powers to collect information, require periodic reports, conduct inspections, and apply sanctions on the regulated and supervised entities. However, in its enforcement activity it relies on checking compliance with many detailed rules rather than on a more effective and proactive qualitative approach to enhancing risk management of financial market participants. In the light of new and broader principle-based statutory requirements, CBR shall develop and mandate a fully risk-based, proactive regime that involves qualitative judgments about risk management, internal control, customer care, and other high level requirements.

D. Insurance

52. **Insurance supervision is mainly rules-based, and should gradually shift to a transparent risk-based approach.** The rules-based approach leads to a likely underestimation of the solvency of the sector. CBR requires market players to submit actuarial assessments of reserves as part of their regular reporting. However, such estimates play no role in determining companies' legal compliance with the insurance solvency requirement, which instead relies on a normative formula-driven assessment universally applied to all lines of insurance business regardless of insurers' size and claims performance record. Such an approach may materially underestimate the real solvency of the sector. As of 2017, with the introduction of IFRS reporting standards, companies will be required to present actuarial assessments of their reserves on their solvency reporting forms. However, it is unclear whether these risk-based assessments of insurance liabilities will be considered in the calculation of insurers' solvency ratios. Thus regardless, CBR supervision should introduce an actuarially backed solvency standard and establish the core role of actuaries.

53. **Several departments of CBR are responsible for insurance supervision.** Departments involved in supervision include: (i) Financial Market Access Department (in charge of licensing and maintaining insurers' registry); (ii) Chief Inspection (in charge of onsite inspections for all financial institutions, including banks); (iii) Department for Protection of Financial Services Consumers (in charge of consumer protection); (iv) Department of Non-bank Financial Institutions' Statements Collection and Processing Department (in charge of data collection); (v) Financial Monitoring and Foreign Exchange Control (in charge of anti-money laundering); (vi) Department for Countering Malpractice in the Open Market (dealing with securities fraud); (vii) Department of Collective Investment and Trust Management (in charge of supervising operations of non-state pension funds and specialized depositories); and (viii) Insurance Market Department (in charge of off-site monitoring).

54. **The drawbacks of a dispersed insurance supervisory function can be mitigated by increasing staff skills and MIS improvements.** These drawbacks include the potential for insufficient coordination among different departments, shortage of professional insurance expertise in those departments dealing with all segments of the financial market, and limited ability of the regulator to form

a holistic opinion of the state of the insurance market. Although the CBR has been effective in ridding the market of numerous unprofessional companies, the ongoing consolidation of the industry (from over 1,056 in 2005 to 315 in 2016), the increased complexity of the industry, and CBR's decision to move toward risk-based supervision, all call for increased technical capabilities and professional qualifications in all IMD supporting departments involved in insurance supervision, backed by a modern fully integrated MIS system.

E. Payments

55. **Given the nature of interdependencies and interconnectedness of the FMIs, the CBR may adopt a holistic oversight approach to ensure the safety and efficiency of the FMIs in Russia.** CBR may examine how best to utilise the existing institutional framework such as the Coordination Committee set up for Moscow Stock Exchange Companies and the CBR Consulting Board for payment system issues could be tasked for developing this holistic approach. Currently, the BRPS, and the NSD payment system are overseen by the National Payment Systems Department (NPSD), while the NSD as depositary and repository and NCC are overseen and supervised by the Securities and Commodities Market Department and the Banking Supervision Department. The legislation on payments and settlement systems, including securities settlement, is also spread over several statutes. It would be desirable to harmonize the provisions in the applicable statutes related to settlement finality, irrevocability, and collateral protection from bankruptcy, as it is not very clear whether the provisions in the Insolvency law for example could override these measures in the other statutes.

56. **Several risks related to the FMIs were identified that need to be addressed.** As an additional tool for risk management, it is recommended that CBR explore the possibility of developing the capability to call for additional collateral on the day of enforcement of the collateral. Given its systemic importance, the National Settlement Depository (NSD) should test the adequacy of its revised business continuity plan to ensure that end-of-day settlement is completed under all adverse scenarios. Finally, NCC should introduce intraday variation margin calls with respect to all market segments and irrespective of the settlement cycles. The collection of variation margin prevents current exposures from accumulating and mitigates the potential future exposures that NCC could face. In addition, its margin methodology should be reviewed and validated by a qualified and independent party at least annually.

57. **There is a need for stronger regulations on protecting client funds held in separate accounts by e-money operators from the potential bankruptcy of the e-money operator.** The client funds in the separate accounts should be protected against seizure for fulfilling other creditor claims.

58. **As part of its oversight mandate, it would be important for CBR to actively promote and encourage interoperability of all payment systems in the country.** This requires dialogue with the socially important payment systems, notably on policy and standardization issues initially, and later with the other payment operators. While it appears that some e-money operators have entered into bilateral agreements to enable interoperability, such efforts need to be replicated on an industry-wide basis.

F. Anti-Money Laundering and Combating the Financing of Terrorism

59. **Important steps have been taken to strengthen the legal, regulatory, and supervisory frameworks in recent years.** Amendments to the AML/CFT law have addressed some identified gaps

and CBR has issued guidelines on beneficial owners and foreign and domestic PEPs to align the framework with the Financial Action Task Force (FATF) standard and ensure compliance. The law requiring legal entities to disclose beneficial ownership information is a positive step. Moreover, CBR's supervision of AML/CFT issues is intrusive. The supervisory authorities are well aware of ML/TF-related problems and have acted forcefully against credit institutions including by withdrawing their licenses.

60. **Even so, further measures are needed to mitigate ML/TF risks.** In the supervisory domain, administrative fines appear to be low and not a sufficient deterrent. New legal provisions would be desirable to allow the CBR to impose sanctions in a transparent manner, when appropriate, that are proportionate with the breaches identified. The CBR also needs to improve its understanding of banks' ML/TF risk. Risk-based tools should be enhanced to provide the CBR with data on the nature and potential exposure of banks to ML/TF (inherent) risk at the institutional level. Information on beneficial ownership and control of legal persons is not easily available. Furthermore, the definition of PEPs and the disproportionately low number of related suspicious transaction reports increase the likelihood of the laundering of proceeds of corruption by domestic officials. Further guidance can assist banks with the identification and verification of their customers' beneficial owners, including those held by complex structures and PEPs. The authorities should finalize and communicate the results of the ML/TF NRA prior to the 2018 assessment against the revised FATF standard.

MACROPRUDENTIAL POLICIES

61. **An expanded use of macroprudential tools to establish adequate buffers could help safeguard financial stability in the medium term.** The economy is highly exposed to swings in oil prices, which in turn may significantly affect financial conditions and amplify business cycles through macro-financial linkages. In the medium term, greater volatility driven by oil price movements may warrant a larger buildup of buffers to protect banks against solvency risks. Furthermore, liquidity requirements might be strengthened to improve banks' funding structure. Macroprudential tools could support de-dollarization, but their use should be motivated primarily by systemic risk mitigation, with an awareness of their unintended consequences.

62. **The CBR Law should be amended to provide for a more comprehensive set of macroprudential tools.** The current CBR Law does not provide a legal foundation for CBR to use the full set of recognized macroprudential tools, such as loan-to-value and debit service-to-income ratios (DSTIs). The CBR Law should thus be amended to provide an adequate legal foundation for the development and use of the full range of macroprudential tools on an *ex-ante* basis. An expanded toolkit is essential to support a more efficient and effective use of macroprudential measures to contain systemic risk.⁵

63. **CBR has the necessary technical capacity for systemic risk monitoring and assessment, but additional work would be desirable.** In particular, it would be useful to (i) conduct an early

⁵ While overall unsecured consumer lending has slowed down significantly, loans that are subject to higher capital risk weights continued to increase more strongly than loans that are not affected by these measures.

warning exercise to detect vulnerabilities; (ii) carry out macroprudential stress testing that accounts for second-round effects, solvency-liquidity links, and cross-sectional linkages; and (iii) focus more on “connecting the dots.” The Financial Stability Review would benefit from a clearer presentation of systemic risks and vulnerabilities, propagation of risks through macrofinancial linkages, and resilience of the banking system to shocks, facilitating more effective communication with the general public.

CRISIS MANAGEMENT AND RESOLUTION

A. Lender of Last Resort

64. **CBR should ensure that there is an appropriate safety net in place to meet the emergency liquidity needs of individual institutions.** CBR has a flexible crisis management framework which has proven to be effective, but could benefit from being formalized. This framework, performed under CBR’s financial stability mandate, should be at the discretion of CBR, with liquidity only extended once all other options available to the institution have been explored. All non-monetary policy related lending should fall under this discretionary framework. These LOLR operations should provide temporary liquidity support only, directly to solvent and viable institutions, and these operations should be adequately collateralized and provided at a spread to market rates. Government indemnities should be made available as required, especially when CBR has concerns about the entity, collateral, length, and size of support, or exit strategy from the arrangement.

65. **Several key operational elements need to be introduced to enhance the ability of CBR to anticipate, assess, and monitor the liquidity needs.** These include: (i) an appropriate governance and stakeholder coordination framework to ensure a cohesive and timely response; (ii) “horizon scanning” so that these exceptional liquidity needs can be anticipated to the extent possible; (iii) an understanding of the underlying need for liquidity along with ex-post monitoring by CBR so that moral hazard is minimized; and (iv) an appropriate disclosure and communication strategy agreed among all relevant stakeholders.

B. Bank Resolution and Liquidation

66. **CBR is the resolution authority responsible for determining entry into resolution and the resolution method to be used.** Under the current resolution framework, other than liquidating a failed bank and paying depositors, CBR has the power to conduct an open bank resolution or a P&A transaction with DIA participation. When an open bank resolution measure is taken, CBR may apply regulatory forbearance to the failed bank. DIA is responsible for the operational aspects of bank resolution and takes part in the decision making process for resolution involving DIA participation on systemic banks.⁶ DIA has the power to deny or agree with CBR’s proposal for DIA participation in resolution measures, based on the principles of fairness and reasonableness, the bank’s financial position, or the impact on the DIA’s financial position. For SIBs, DIA may participate in an open bank resolution or in P&A transactions.

⁶ The DIA Board is composed of thirteen members, which includes five representatives from the CBR and seven high-level government officials, including from the MoF, Ministry of Economic Development (MoED), and the President’s office.

DIA may provide financing for such transactions, either through the DIF or on its own account, with funding by CBR loans or the government. Non-systemic banks are liquidated and DIA conducts insured deposit payouts.

67. **The authorities have resolved many banks in an orderly manner, mostly by open bank resolution or liquidation.** Since January 1, 2014 till May 1, 2016, 28 banks were put into open bank resolution using public funds amounting to 1.6 percent of Gross Domestic Product (GDP). In addition, over the same period, CBR revoked licenses of 214 credit institutions, resulting in deposit insurance payouts amounting to 0.8 percent of GDP. P&A transactions have only been used in three cases.

68. **There is room to enhance the effectiveness of bank resolution,** mainly by strengthening the early intervention framework and adopting the full range of resolution powers recommended by the FSB Key Attributes. First, many banks entering resolution are deeply insolvent, with a large deficit to be covered by public funds, partly reflecting frequent misreporting of financial information by troubled banks. To address this problem, early intervention based on strong supervision is essential (see above on banking oversight). Second, for failed banks that are not liquidated, the authorities' preferred measure is to save the entire bank, rather than ensuring the continuity of its critical functions through P&A transactions. The introduction of the full range of resolution powers recommended by the FSB Key Attributes will help reduce the reliance on open bank resolution and minimize the use of public funds.

69. **There are legal and operational impediments to the effective use of P&A transactions to ensure continuity of critical functions of the failed bank.** First, the mandatory DIF may not be used to fund the negative balance between the transferred assets and the liabilities subject to a least cost test. This has been a critical constraint in many resolution cases. Currently, a draft bill is being considered to provide for such funding powers. Second, the authorities do not have sufficient flexibility and are required to transfer all liabilities in the same priority class. The authorities should have the power to determine the scope of liabilities to transfer subject to the principle that no creditor is worse off than in liquidation. Third, overvaluation of assets and the many instances of fraud related to bank failures make it difficult for the authorities to sufficiently prepare for a P&A transaction prior to entering into resolution. In this context, the use of a bridge bank to temporarily transfer assets and liabilities would allow for the necessary evaluation of the bank's assets.

70. **The scope of the resolution framework needs to be expanded.** The authorities' plan to introduce statutory bail-in powers could be useful in raising the necessary capital for recapitalization, particularly for large and complex banks.⁷ The specifics of the framework (triggers, scope of bail-in-able liabilities, order of bail-in, timing) need to be carefully considered, paying due regard to the consistency with the creditor hierarchy in liquidation (see below) and the financial condition of the banking sector. The authorities should also consider introducing the power to establish bridge banks and asset management companies; to temporarily stay early termination rights; and to require group entities to provide continuity of services. The resolution framework should be amended to provide for shareholder and creditor safeguards. All creditors should be compensated if they do not receive at a minimum what they would have received in liquidation. While respecting the hierarchy of creditor claims in liquidation, the legal framework should permit departure from *pari passu* treatment of creditors in clearly specified

⁷ A bill is being drafted to provide CBR with the power to conduct a statutory bail-in.

circumstances. The availability of a broader range of tools could enable orderly resolution at minimum cost to taxpayers while preserving financial stability.

71. **It would be desirable to discontinue subsidized CBR loans to the DIA for resolution and backstopping.** Such loans, if provided on a large scale, can undermine the achievement of the central bank's monetary policy objectives. Central bank financing of the DIA is a quasi-fiscal activity and thus more appropriately the role of the federal government. CBR funding should be limited to providing short-term liquidity support to solvent banks at market rates (see above), with losses indemnified by the government. In the medium term, arrangements could also be made to recover public outlays from the financial industry.

72. **Providing subsidized loans for solvency support may not be effective in dealing with the failure of large systemic banks.** Funding mostly takes the form of DIA providing long-term (typically 10-year maturity) collateralized loans at below-market rates (typically 0.5 percent). Over the maturity of the loan, the interest rate difference vis-a-vis market funding cost provides a subsidy to cover the negative balance of the failed bank and to improve its capital base. This funding arrangement makes bank resolution a lengthy process, during which DIA conducts intensive monitoring and CBR can grant regulatory forbearance. As the loan is collateralized, the resolved bank's assets are heavily encumbered, reducing the bank's access to market funding and its flexibility to restructure its balance sheet. This arrangement can create funding constraints in the event that a large systemic bank fails and neither the bank nor a private investor is able or willing to provide sufficient pledgeable assets, effectively making nationalization the only resolution option.⁸ Therefore, when solvency support is deemed necessary to ensure orderly resolution, it should be in the form of assets rather than subsidized loans. An upfront grant could immediately improve the financial condition of the resolved bank, lower its asset encumbrance, facilitate access to market funding, and increase transparency of the funding arrangement.

73. **If the proposed changes to DIA financing are adopted, decision-making for resolution measures involving public funds would require the approval of the MoF.** Currently, resolution measures involving the use of CBR loans are decided by the CBR Board, with mutual consultation with the DIA. If CBR loans are no longer provided, resolution measures involving the temporary use of public funds would need to be approved by the MoF. All other resolution measures taken within the least cost test would be decided by CBR in consultation with the MoF and the DIA.

74. **Broadening the scope of deposit insurance to corporate entities could help facilitate the payout process.** The authorities are considering expanding over the medium term the scope of coverage to corporate entities. This could facilitate the payout process and contribute to protecting small corporate depositors.

75. **The introduction of a two-tiered depositor preference rule would reduce costs to the mandatory deposit insurance fund.** This will ensure a higher probability and amount of repayment in the liquidation proceedings for the DIF. It could also facilitate the implementation of resolution options, such as a partial deposit transfer or a statutory bail-in without affecting certain or all depositors, while

⁸ This constraint would be magnified in a low interest rate environment, as is likely to obtain following the achievement of the CBR inflation target.

respecting the creditor hierarchy and *pari passu* among the same class of creditors. In addition, the authorities may want to consider changes to the creditor hierarchy consistent with the scope of deposit insurance as well as the scope of liabilities subject to bail-in.

76. Legal protection of resolution authorities and their staff needs to be strengthened.

Resolution authorities and their staff and agents (e.g., bankruptcy receivers and liquidators) should be protected by law against liability for actions taken and omissions made while exercising their professional judgment in discharging their duties in good faith. Furthermore, the law should not constrain the implementation of, or result in a reversal of, measures taken by the resolution authorities acting within their legal powers and in good faith. Instead, the law should provide for redress through monetary compensation, if justified.

THE ROLE OF THE STATE IN THE BANKING SECTOR

A. Structure and Performance

77. State-owned financial institutions fall into three main groups: commercial banks, hybrid banks, and development institutions. The largest state-owned commercial banks include Sberbank, the VTB Bank, and Gazprombank. Like private commercial banks, these institutions do not have a policy mandate and are profit maximizing, and target similar market segments. The main state hybrid bank is the Russian Agricultural Bank (RAB), which has a policy mandate to focus on agribusiness, while also engaging in broader commercial banking activities. The principal state development institution is the Vnesheconombank (VEB) group, which has a broad policy mandate, subject to a legal obligation not to compete with commercial credit institutions. It on-lends or directly lends to firms, but does not collect retail deposits.⁹ There are also several smaller state-owned banks (SOBs) that primarily engage in commercial activities and are owned by sub-national entities. The ownership structure of the state-owned financial sector is dispersed and complex (see below).

78. The authorities should continue pursuing the gradual privatization of state-owned commercial banks, as economic conditions permit. There has been a gradual divestment of state ownership in recent years. Further divestment is dependent on securing anchor investors. Moreover, a drop below a controlling interest (particularly in Sberbank) is being weighed against the safe-harbor benefits of state ownership during periods of turbulence. There also may be benefits to revisiting the role and structure of the state hybrid and development institutions, with corporate governance reforms being a priority.

79. State-owned financial institutions should not be used to bail out struggling commercial banks. This practice can undermine the financial soundness of state-owned financial institutions, and is also not consistent with transparent and efficient public finances. It would be preferable to apply sound resolution practices, as described elsewhere in this report.

80. In other respects, the administration of financial subsidies appears to follow a number of good principles, although coordination could be improved. Both state-owned and private banks can

⁹ Globexbank and Sviazbank are noticeable exceptions among VEB subsidiaries. The two banks were bailed out by the VEB group during the crisis of 2008, and are expected to be sold in the near future.

act as a government agent in administering state financial subsidies and other programs, and the subsidy component of such programs is often covered by the budget. The multiplicity and lack of coordination of financial subsidy programs, however, can lead to poor targeting, duplication, and even “double-dipping” by beneficiaries. It would be beneficial to establish a subsidies’ bureau to coordinate and to assess the impact of the programs.

B. Governance and Oversight

81. **There have been many positive changes in the corporate governance of state-owned banks in recent years.** Key developments include: (i) listing of shares in capital markets; (ii) improved disclosure (implementation of IFRS standards, disclosure of ownership structure, conflicts of interest and remuneration of supervisory and management board members, and public and comprehensive annual reports); (iii) greater board effectiveness (independent directors, board subcommittees); and (iv) risk, audit and internal controls (separation between permanent and periodic control functions, ensuring that the head of internal audit reports directly to the board, creation of risk management departments, and recruitment of chief risk officers).

82. **The ownership of SOBs remains dispersed and complex.** In many other jurisdictions, the ownership of State Owned Enterprises (SOEs) and SOBs has been consolidated under a single entity. By contrast, in Russia, public ownership interests are dispersed: CBR for Sberbank; the FAPM for VTB Bank, JSC SME Bank (with partial VEB ownership), and RAB; and various administrative regions in several smaller state banks. Ownership relations are also complex. SOBs and SOEs have subsidiaries in the banking sector, including VEB owning Globex Bank, and Sviaz Bank; VTB Bank owning VTB 24, BM-Bank PJSC (former Bank of Moscow) and PJSC Post Bank (former PJSC Leto Bank); Gazprom owning Gazprombank; and, Rosneft owning the Russian Regional Development Bank. Finally, the DIA owns Bank Rossiysky Capital, which it resolved and recapitalized in 2011.

83. **An unusual feature of SOB governance in Russia is the dual role of the CBR as the major shareholder and regulator of Sberbank.** Although this arrangement appears to have worked reasonably well in practice, in particular thanks to a strong and professional management team at Sberbank, it may impede the longer-run transition to a more market-oriented and competitive banking system, and may raise doubts among potential private investors in the banking sector about the authorities’ commitment to providing a level playing field.

84. **A reform of the current ownership structure could support the spread of good corporate governance practices.** At present, some SOBs such as Sberbank and VTB bank have solid corporate governance practices. Others, however, lack good practices such as board committees, independent directors, a strong control environment, and adequate disclosure. In varying degrees, these shortcomings inevitably reflect the incentives created by the current ownership structure. Thought could therefore be given to institutional reforms that oblige the current owners to implement better practices, or even to the reassignment of ownership to other government entities that might be better placed to make the desirable improvements. A reform of the current dispersed and complex ownership structure of SOBs could have significant benefits. One option is the transfer of the ownership of additional SOBs to FAPM.

85. **The composition and functioning of many SOB boards is an area that requires attention.** Many SOB boards are composed mostly of civil servants and high level government officials, and not

enough board members have experience in commercial banking. Moreover, the boards of SOBs lack autonomy as board members (except independent directors) vote by “instruction” of the major shareholder. A new legal and regulatory framework to increase board effectiveness by reducing the share of government officials in SOB boards and expanding the share of professional and independent board members would help to mitigate these issues, notably by helping to align decision-making more closely with commercial objectives.

86. **Finally, SOB lending to SOEs should be conducted on an arm’s length basis and on commercial terms.** Internal procedures do not treat these transactions as related-party transactions. CBR regulations on major exposures and related-party exposures do not appear to capture lending to SOEs. As a result, these are treated as normal transactions and are not separately disclosed to the public. Moreover, when state commercial and hybrid banks support the implementation of state programs, these are kept on balance sheet, thus potentially undermining the soundness of these banks. Efforts should be made to ensure that SOB lending to SOEs is also properly disclosed in financial statements and annual reports.

FINANCIAL SECTOR DEVELOPMENT

A. Financial Inclusion

87. **Financial inclusion varies significantly between urban and rural areas and across income levels.** Account penetration stands at 67.4 percent of adults, which compares well to the ECA regional average of 51.4 percent but is lower than the high-income non-OECD average of 72.8 percent. Account penetration is uneven between urban and rural areas and across income and age groups, and usage is often limited. There are gaps in the availability and usage of appropriate savings products for the underserved.

88. **Low-income and rural individuals have access primarily through Sberbank.** Sberbank has a dominant position in the market, with about 45 percent of retail deposits in 2015 and a network of over 16,000 branches and retail outlets (though about 800 unprofitable branches/outlets were closed in 2013-2014). Some smaller, locally focused banks also provide access to low-income and rural residents, but face high costs of regulatory compliance.

89. **Branchless banking and digital finance could help raise financial inclusion, but some streamlining of agent and AML/CFT regulations may be needed.** Agent-based models, mobile branches, and digital delivery and use of technology could all help to reach the underserved at lower and more viable operational cost. The use of these delivery channels to foster financial inclusion could be supported by a more proportionate AML/CFT framework that is further risk-based and allows for greater use of simplified identification as well as simplified reporting and compliance requirements where appropriate, as well as a clear legal framework for agents that allows a broader set of activities, such as account opening and, loan application processing, accompanied by adequate oversight. Efforts are already underway by the CBR to develop more proportionate regulation and supervision.

90. **Access for low-income and rural communities could also be improved if more players were competing in the lower-end market segment.** Sberbank faces a lack of competition in rural areas,

limiting choice in providers and competition to provide better quality products and services. The creation of the Post Bank by VTB Bank group is a welcome step towards more competition. Competition could also be increased by facilitating a more tiered banking system, with a more proportionate, simplified and lower-cost regulatory framework for banks (or deposit-taking NBCOs) engaged in a limited set of operations most relevant for the underserved.

91. **The microfinance sector could play a greater role in financial inclusion if traditional microfinance was expanded and clearly differentiated from payday lending.**¹⁰ At present, the majority of MFIs do not provide microfinance in the traditional sense, but rather unsecured, short-term loans with interest rates as high as 2 percent per day and loose creditworthiness assessments. The definition of microfinance and MFIs should be revised to align with international best practices, including the qualitative characteristics of traditional microfinance. Policy tools such as tax incentives and state programs for SME finance could then be used to encourage the long-term growth of sustainable and commercially-based MFIs more focused on productive lending. Capacity building and the creation of a sustainable deposit insurance scheme could help modernize and expand credit cooperatives. At the same time, the financial consumer protection regulatory framework should be enhanced and more actively supervised via thematic reviews and spot checks to curb incidences of over indebtedness and abusive collection practices. The CBR has recently introduced classification of MFIs and responsible finance principles aimed at beginning to address the above issues.

92. **Improving financial inclusion requires a national financial inclusion strategy endorsed by the various stakeholders.** There is currently no comprehensive conception of financial inclusion across stakeholders, and efforts are spread across various agencies. The new strategy would need to cover a range of financial providers (banks, NBCOs, MFIs, credit cooperatives, and other financial intermediaries) and approaches (agent-based models, technology-driven solutions, increased competition). The CBR is currently leading the effort to develop a financial inclusion strategy.

93. **The financial inclusion strategy should include the development of payment systems to increase the use of electronic transactions.** Increased use of electronic transactions is key to promoting financial inclusion. The payments system section of the strategy could focus on measures to: (i) facilitate transaction accounts for all citizens, with greater usage of (debit and credit) card; (ii) promote online payments through the internet and mobile with adequate security measures; (iii) deepen the PoS infrastructure; (iv) rationalize the fee structure; and (v) leverage the existing payment infrastructure to promote retail electronic payment products. This part of the financial inclusion strategy would be formulated by CBR which would also coordinate with all relevant stakeholders such as the FMIs, the Government (MOF), payment system operators, e-money operators and their representative bodies. The CBR Consulting Board on the national payment system improvement issues chaired by the CBR Governor should be used for this purpose.

B. Insurance

94. **The insurance sector has contracted in the past two years.** Gross premiums written in the sector grew by only 1 percent in real terms in 2013-14, but declined by 12 percent in 2015, reflecting

¹⁰ The microfinance sector in Russia is comprised of about 3,600 microfinance institutions and 3,500 consumer credit cooperatives, and also includes pawnshops and agricultural credit cooperatives.

declining demand for voluntary insurance products and growing price competition, with rates below cost leading to gradual decapitalization. The downgrade of Russia's sovereign rating to BB+ also reduced the ability of large Russian insurers to write inward foreign reinsurance business. Profitability was further eroded by higher claims for all personal lines (up to 20-25 percent), and particularly for the compulsory MTPL insurance (20-30 percent in 2014-15).

95. **Consolidation of the insurance sector is likely to continue and should eventually improve market performance.** Since 2013, when CBR took over supervision of the sector, the industry has been obliged to increase its capital and liquidity, come into regulatory compliance, and upgrade internal controls and financial management. In 2015, 70 insurers lost their licenses. The introduction of new regulatory requirements in 2017 (such as IFRS-like accounting rules and actuarial valuation of insurers' liabilities) is likely to reduce the number of insurers even further. With the 20 largest insurers already accounting for over 77.5 percent of the written gross insurance premium, further consolidation will likely have no negative effect on competition.

96. **Looking beyond the current economic downturn, the insurance industry is poised for further growth, which can be supported by targeted reforms.** Insurance consumption in Russia starts from a low base of \$179/per capita in 2014. Potential reforms that could help stimulate growth include a favorable tax treatment for life endowment products, gradually liberalizing regulated MPTL tariffs in order to allow insurers to cover their cost of claims, and developing regulatory capital requirements for compulsory MTPL.

ANNEX 1: RUSSIA FSAP ALL RECOMMENDATIONS

Recommendations	Timing ¹¹
Banking Stability	
Conduct an Asset Quality Review to ensure adequate bank capitalization (CBR).	ST/MT
Enhance stress testing practices (CBR).	MT
Liquidity Management	
Enhance framework to better protect the CBR and to encourage banks to better self insure and manage their risks in the market (CBR).	ST
Review FX repo framework, and formalize lender of last resort (CBR).	ST
Re-establish t-bill program and coordinate sterilization of excess liquidity (MoF, CBR).	ST
Ensure adequate realized capital through legal amendments as needed (CBR).	MT
Financial Sector Oversight and Regulation	
Require prior approval for banks' domestic investments in nonbank institution (CBR).	ST
Establish a funding mechanism for recovery of the costs of providing temporary public financing through levies on the banking industry.	MT
Issue specific requirements for management of banks' country risk and transfer risk (CBR).	ST
Upgrade framework for relations with and use of banks' external auditors (CBR).	ST
Strengthen further the legal framework applicable to related parties (CBR).	ST
Upgrade framework for prudential oversight of banks' operational risk (CBR).	ST
Bring securities and insurance regulation and supervision in line with international standards (CBR).	MT
Test adequacy of revised business continuity plans to ensure settlement and introduce variation margin (NSD and NCC).	ST
Anti-Money Laundering and Combating the Financing of Terrorism	
Complete the NRA and prepare a national AML/CFT strategy (Rosfinmonitoring).	ST
Enhance the availability of and improve the timely access to beneficial ownership information (Federal Tax Service of Russia, Rosfinmonitoring)	ST
Align the definition of PEP with the standard, and improve the level of compliance of relevant measures by banks (Rosfinmonitoring, CBR).	ST
Enhance the CBR's and banks' understanding of ML/TF risks, and the tools for risk-based AML/CFT supervision (CBR).	ST
Macroprudential Policy	
Adopt legal changes to provide a comprehensive policy toolkit (CBR, MoF).	MT
Implement an expanded use of macroprudential tools to establish adequate buffers could help safeguard financial stability in the medium term (CBR).	MT
<i>Further develop macrofinancial and systemic risk analysis (CBR).</i>	MT
Lender-of-Last-Resort	
Create a formalized LOLR framework that is performed under the CBR's financial stability mandate with key operational elements incorporated (CBR).	ST
Crisis Management and Resolution	
Strengthen cooperation with foreign authorities through Supervisory and Resolution Colleges (CBR).	ST
Make recovery plans mandatory for all banks starting from regionally important banks (CBR)	ST
Revise the law to provide the CBR power to require banks to adopt appropriate measures to improve their resolvability (CBR, MoF).	ST
Adopt a transparent early intervention framework (CBR).	ST
Revise the law to provide trigger for entry into resolution based on non-viability (CBR, MoF)	MT
Introduce the full range of resolution powers and safeguards recommended by the FSB Key Attributes, including by implementing legal and operational changes needed to make P&A transactions an effective resolution tool (CBR, MoF).	ST

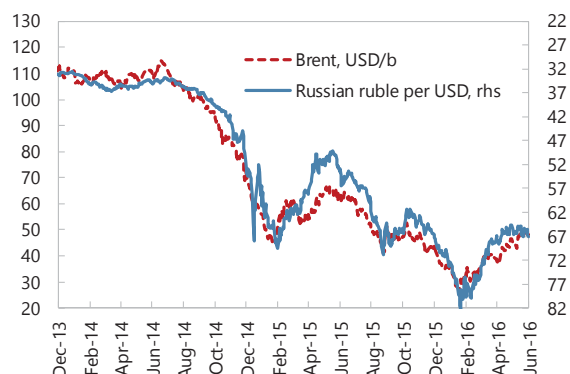
¹¹ "ST-short term" is within one year; "MT-medium term" is one–three years.

Narrow the use of open bank resolution with public funds to cases which have broader systemic implication to the financial system or the real economy (CBR, MoF, DIA).	ST
Revise procedure to allow for speedy liquidation (CBR, MoF).	MT
Establish an ELA framework (CBR).	ST
Discontinue the use of CBR loans to finance resolution via the DIA and establish a decision-making process for resolution measures using temporary public (federal budget) funds that requires MOF approval (CBR, MoF).	ST
Establish a funding mechanism for recovery of the costs of providing temporary public financing through levies on the financial industry.	MT
Broaden the scope of deposit insurance to corporate entities (CBR, DIA, MoF).	MT
Introduce a two-tiered depositor preference rule (CBR, DIA, MoF).	MT
Provide legal protection to CBR, DIA, their staff and agents acting in good faith (CBR).	MT
Circumscribe the scope of judicial review (including eliminating suspension of supervisory actions upon court challenge) (CBR, MoF).	MT
Financial Sector Development Priorities	
Promote legal reforms to increase SOB Board effectiveness (MoF, CBR).	MT
Continue gradual privatization of state-owned commercial banks (MoF, CBR).	MT
Reconsider current dispersed and complex ownership structure of SOBs; possible transfer of SOBs to FAPM (MoF, CBR).	MT
Government to cover the cost of any subsidized activities for financial institutions in its annual budget (MoF).	ST
Ensure that SOB lending to SOEs is conducted on commercial terms (MoF)	ST
Adopt a national financial inclusion strategy endorsed by various stakeholders (CBR, MoF, Ministry of Economic Development (MoED)).	ST
Facilitate more workable tiered banking structure (CBR)	MT
Differentiate payday lending from microfinance and support expansion of traditional microfinance via commercially operated MFIs (CBR, MoED)	ST
Examine utilising the existing institutional frameworks such as Coordination Committee and CBR Consulting Board for carrying out a coordinated oversight over the FMIs (CBR).	ST
Adopt a suitable national strategy for greater usage of electronic payment products (CBR).	ST

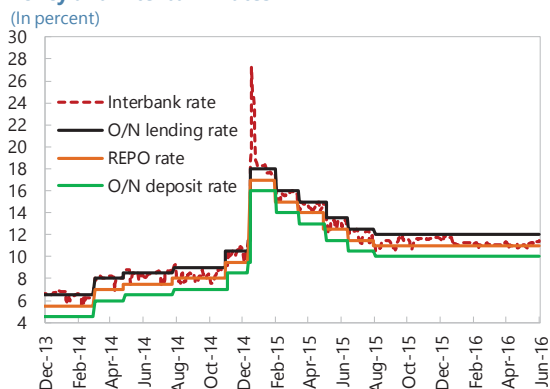
ANNEX II. FIGURES AND TABLES

Figure 1. Recent Economic Developments

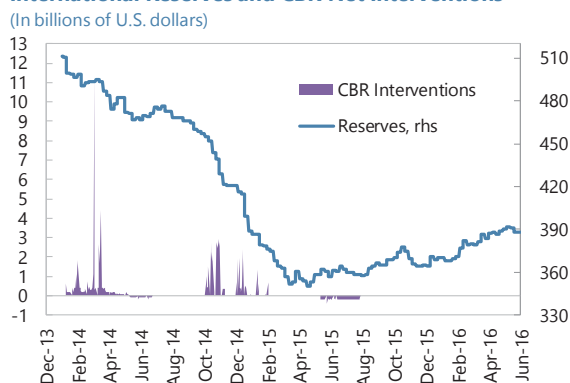
Exchange Rate and Oil Price



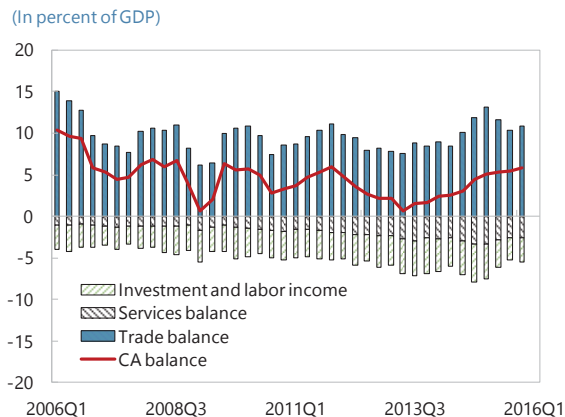
Policy and Interbank Rates



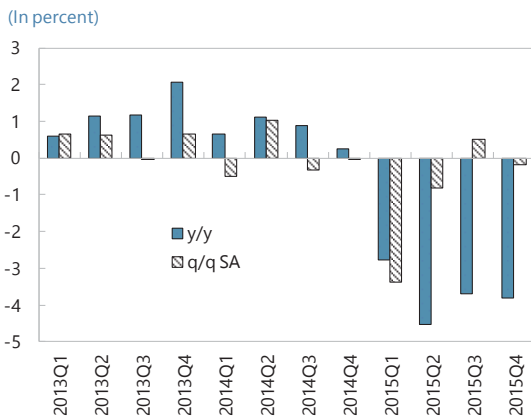
International Reserves and CBR Net Interventions



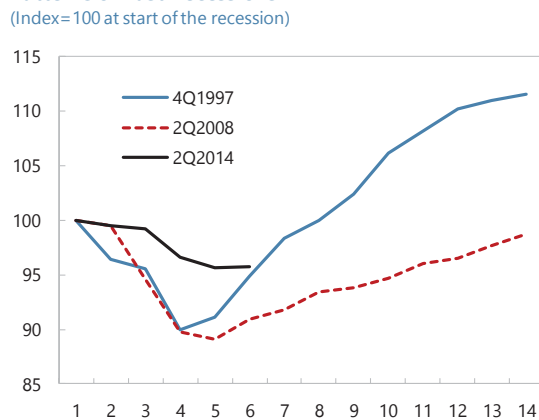
Current Account



Real GDP



Patterns of Past Recessions



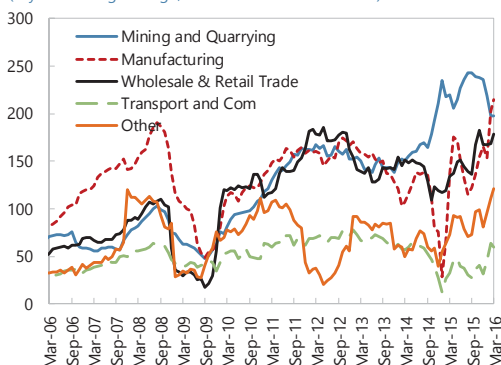
Source: Authorities and IMF staff estimates.

Figure 2. Corporate Sector Developments, 2006–16

Corporate profitability, in particular in the oil and gas sector, has increased...

Corporate Profits

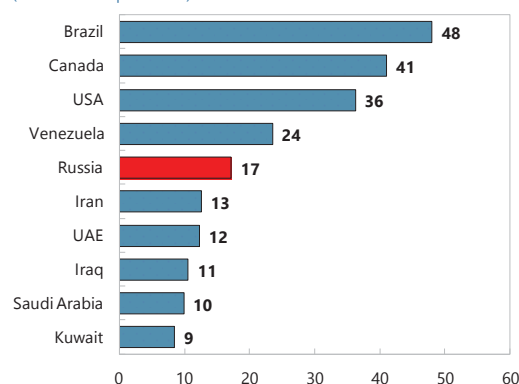
(1-year moving average, in billions of Russian rubles)



...supported by a cost structure primarily in rubles and a low breakeven oil price...

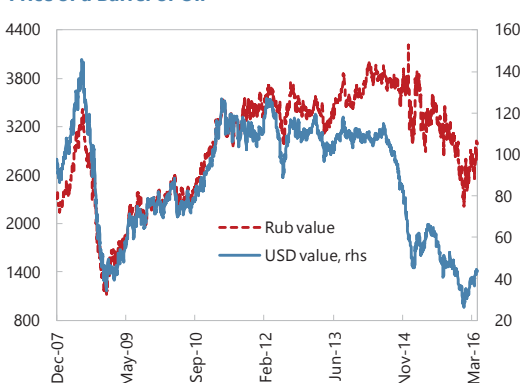
Break-Even Oil Production Cost

(In U.S. dollars per barrel)



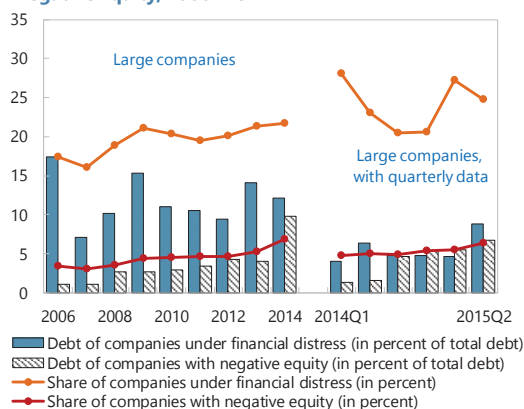
...and by a decline in the ruble.

Price of a Barrel of Oil



However, the share of companies facing difficulty servicing their debt has increased...

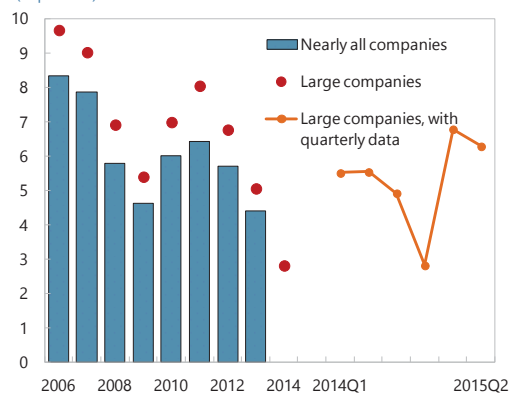
Companies in Financial Distress and With Negative Equity, 2006–15



... while smaller companies show weaker financial soundness with lower profitability...

Profitability: Return on Assets

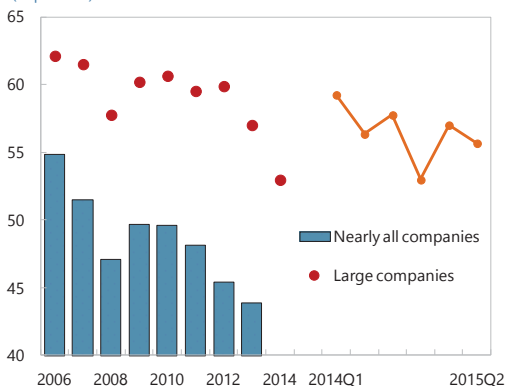
(In percent)



... and higher leverage.

Corporate Leverage: Equity to Assets

(In percent)



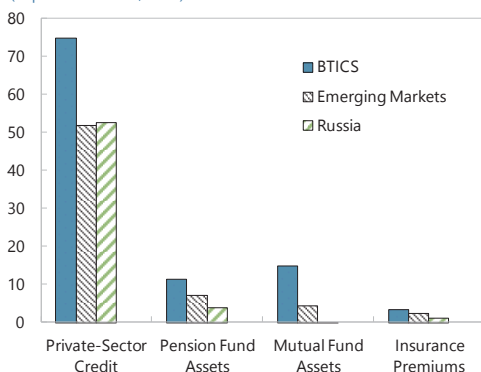
Sources: Authorities and IMF staff estimates.

Figure 3. Banking System Structure

The financial system is slightly less deep than in comparator countries...

Indicators of Financial Depth

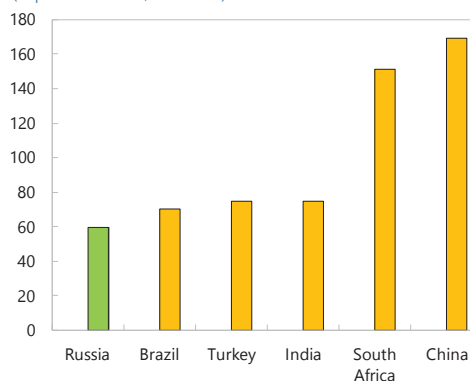
(In percent of GDP, 2013)



... and intermediation is lower...

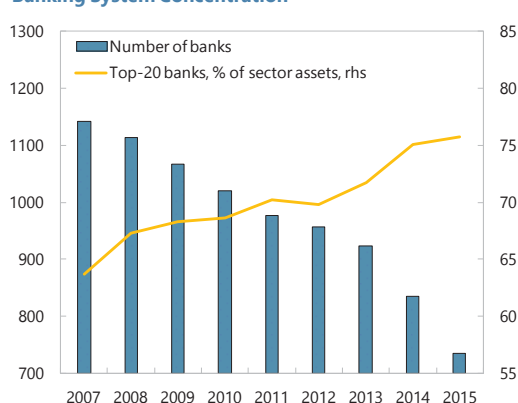
Domestic Credit by Banking Sector

(In percent of GDP, end-2014)



...the banking system is highly concentrated at the top and fragmented at the bottom...

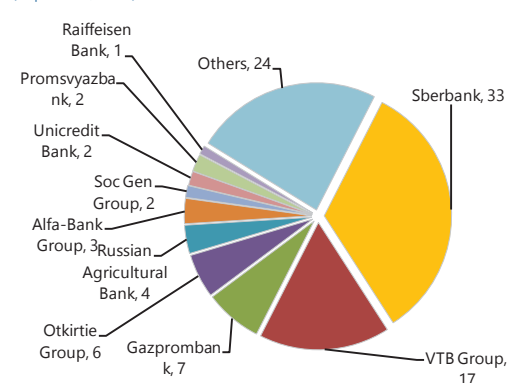
Banking System Concentration



... while state-owned banks dominate.

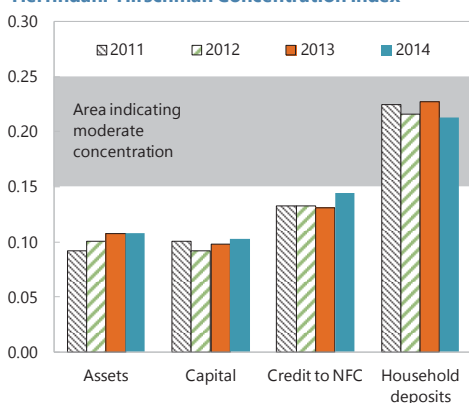
Loan Market Share of Top 10 Banks

(In percent, 2015)



Household deposits show a moderately concentrated system...

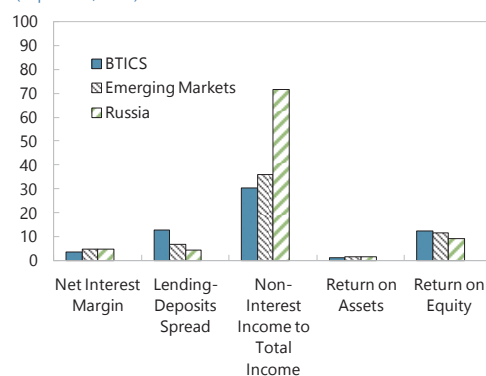
Herfindahl-Hirschman Concentration Index



... in the context of somewhat lower efficiency.

Indicators of Efficiency

(In percent, 2013)



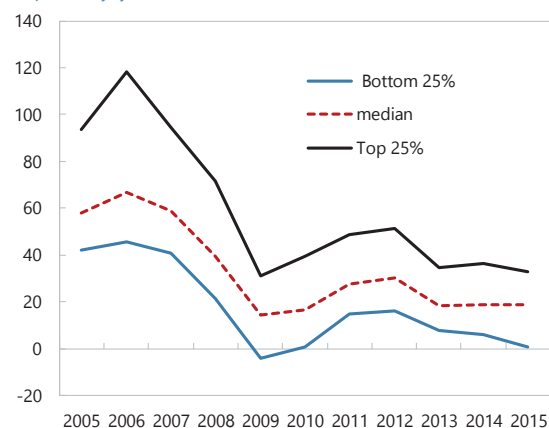
Source: Authorities and IMF staff estimates.

Figure 4. Bank Assets and Liabilities, 2008–15

Asset growth remains positive...

Total Assets Growth

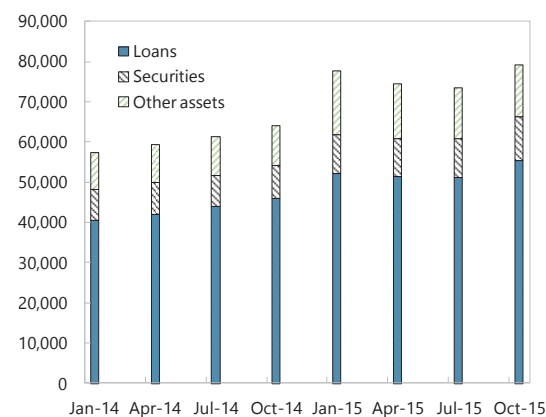
(In percent, yoy)



Loans are the bulk of banks' assets.

Total Assets of the Russian Banking Sector

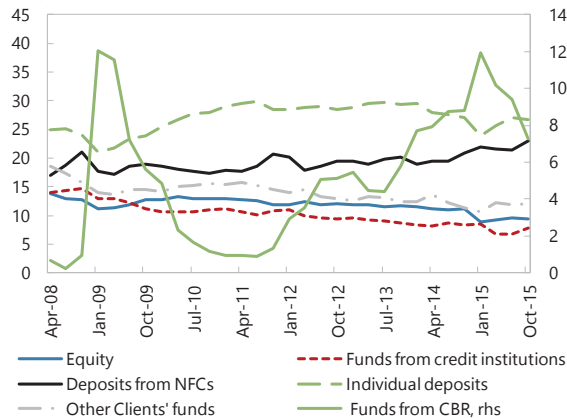
(In billions of Russian rubles)



Banks rely for their funding mainly on deposits from individuals and non-financial corporations...

Bank Funding Sources

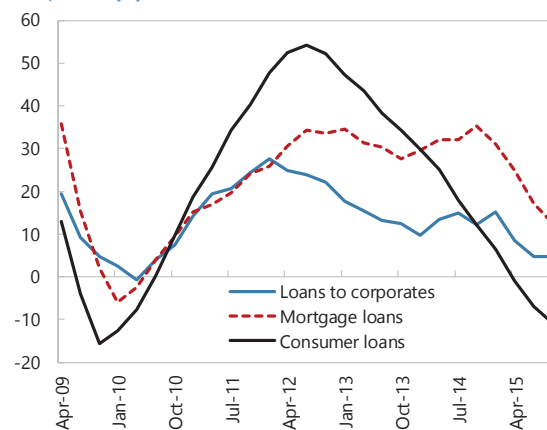
(In percent of total)



...although ruble credit growth is slowing, in particular in the consumer segment.

Credit Growth (Ruble Denominated)

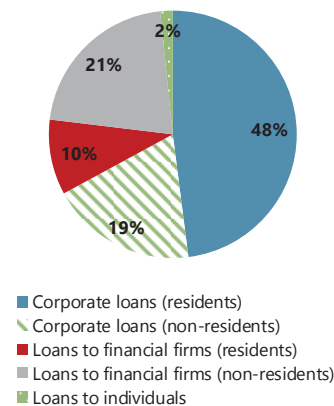
(In percent, yoy)



Half of FX lending is to resident corporates.

Composition of Loan Portfolio in Foreign Exchange

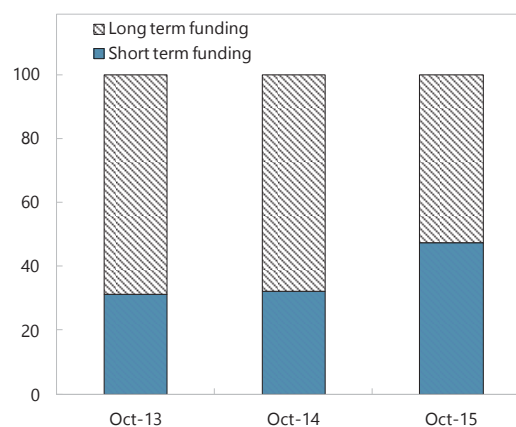
(In percent of total)



...and the share of short-term funding reached 50 percent at end-2015.

Short- vs Long-Term Funding

(In percent)



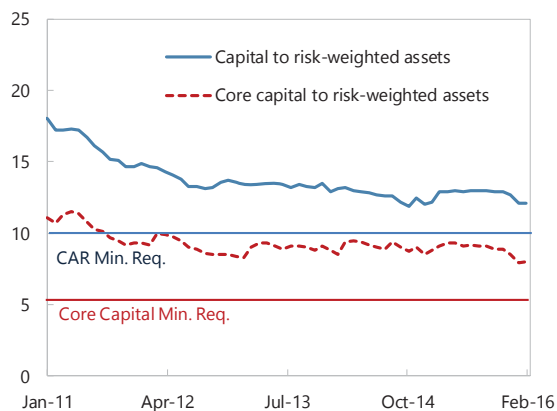
Sources: Authorities and IMF staff estimates.

Figure 5. Bank Capital and Liquidity, 2008–15

Capital ratios remained stable due to capital injection ...

Capital Adequacy

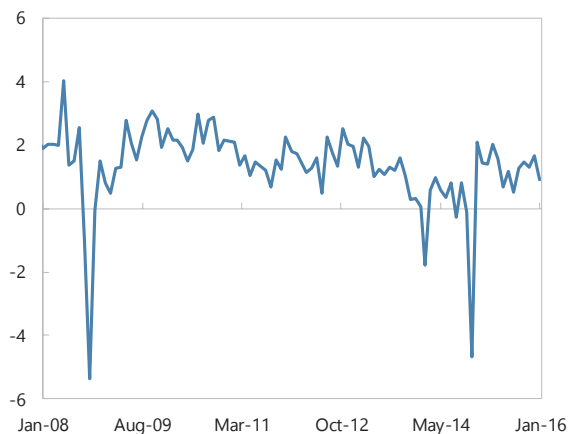
(In percent)



Liquidity dried up following a strong outflow of retail deposits in December 2014...

Retail Deposits

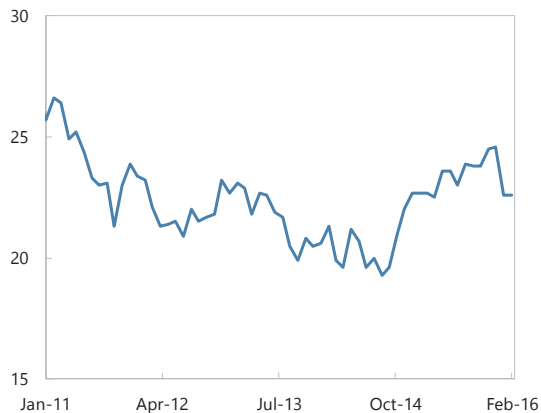
(Percent change, M-o-m, SA)



Since then, confidence has returned and the liquidity situation has improved...

Liquidity Assets to Total Assets

(In percent)

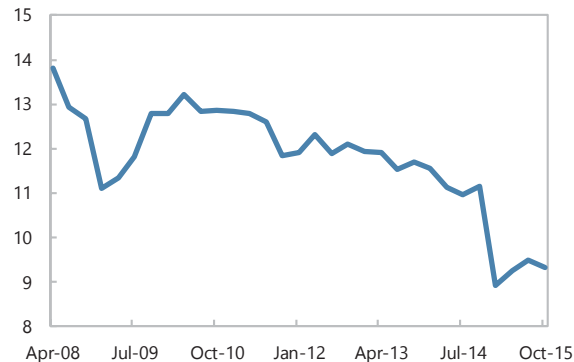


Sources: Authorities and IMF staff estimates

... and the use of regulatory forbearance to shield risk weighted assets from the impact of the depreciation.

Equity to Total Assets of Russian Banks

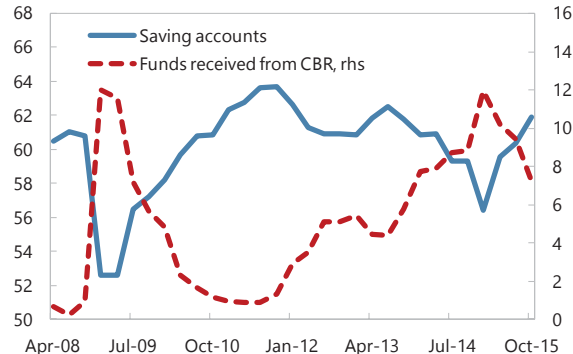
(In percent)



...which was compensated by CBR stepping in to support liquidity of the banking system.

Main Funding Sources

(In percent of total liabilities)



...amid declining loan-to-deposit ratios.

Loan-to-Deposit Ratio

(In percent)

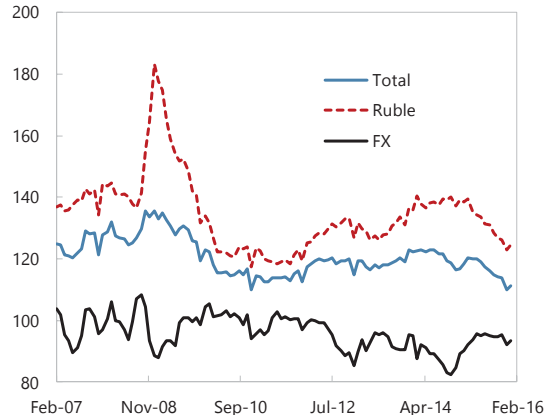
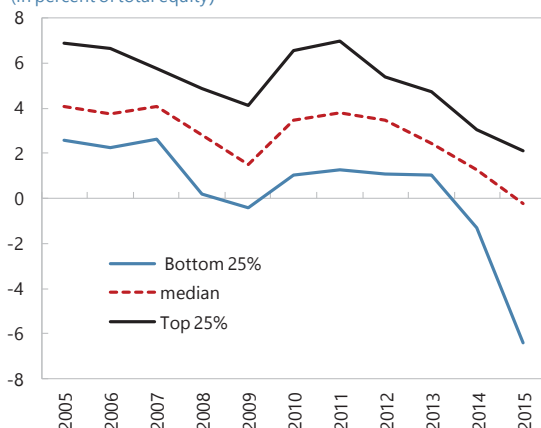


Figure 6. Bank Profitability, 2005–15

Bank profitability has declined sharply since 2010 ...

Net Income

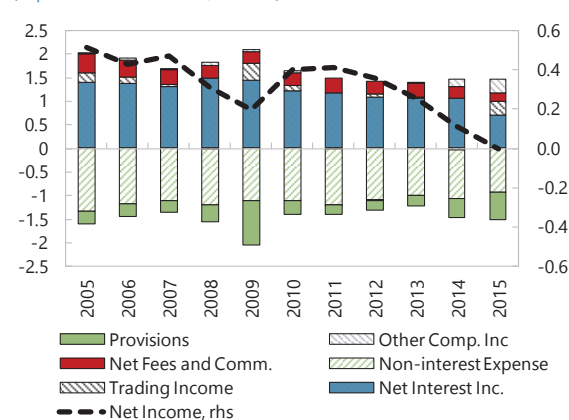
(In percent of total equity)



...reflecting lower net interest margins and higher provisions...

Contributions to Net Income

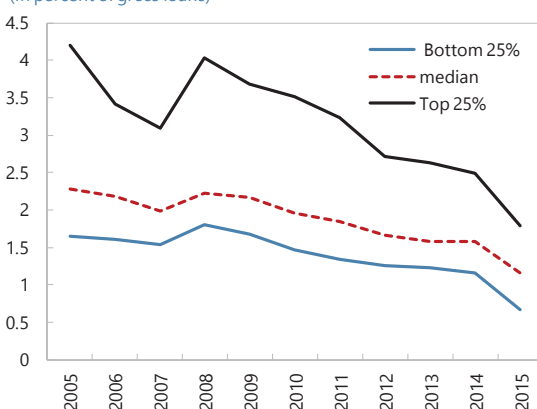
(In percent of total assets, median)



Net interest income has declined...

Net Interest Income

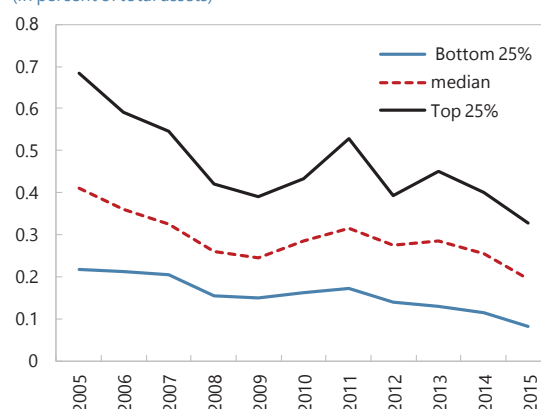
(In percent of gross loans)



...as have net fees and commissions.

Net Fees and Commissions

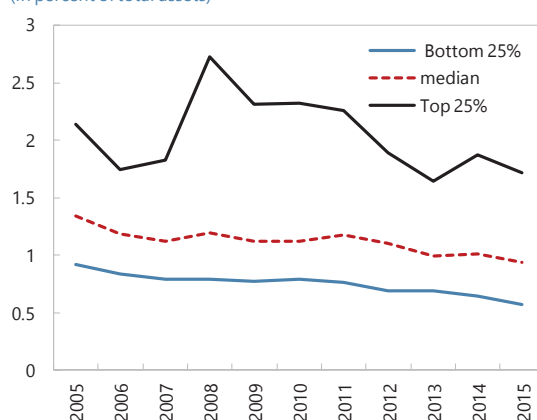
(In percent of total assets)



Cost reductions have provided some offset.

Non-Interest Expenses

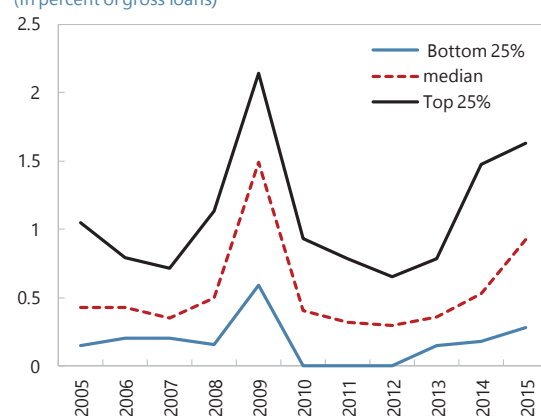
(In percent of total assets)



Loan impairment charges have not reached 2009 levels.

Loan Impairment Charge

(In percent of gross loans)



Sources: Authorities and IMF staff estimates.

Figure 7. Bank Performance by Asset Size, 2014–15

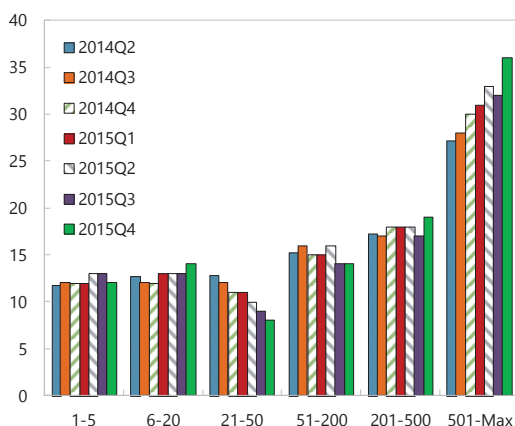
Banks in the 21–50 segment remain the weakest performers...

Return on Equity



...helping this segment keep stable capital adequacy ratios.

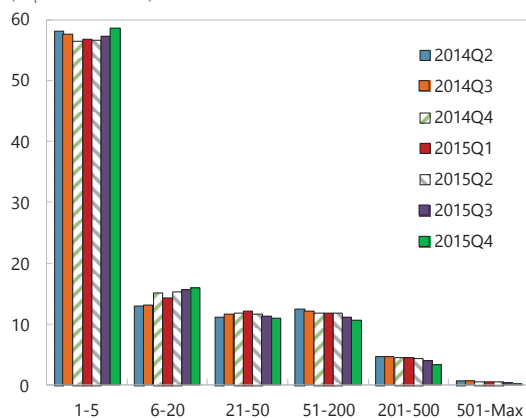
Capital Adequacy Ratio



...and the top 20 banks saw more retail deposit inflows in the fourth quarter than other segments...

Individual Deposits

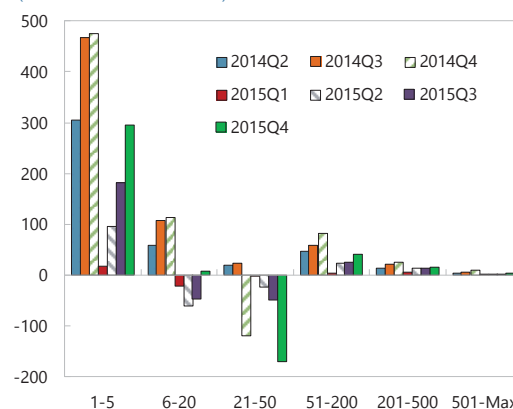
(In percent of total)



...with two years of negative profits. Profits of the system are positive thanks to the top 1–5 banks...

Profit for the Current Year

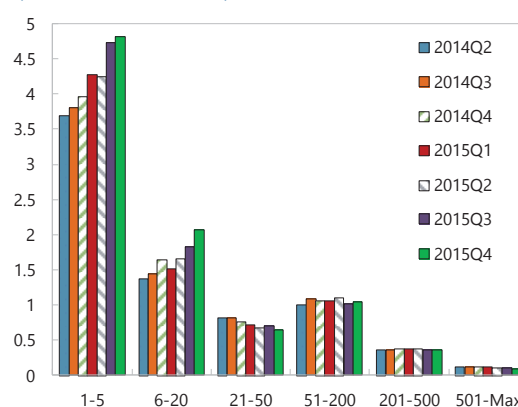
(In billions of Russian rubles)



The top 20 banks benefited from capital support program in the third quarter...

Equity Capital

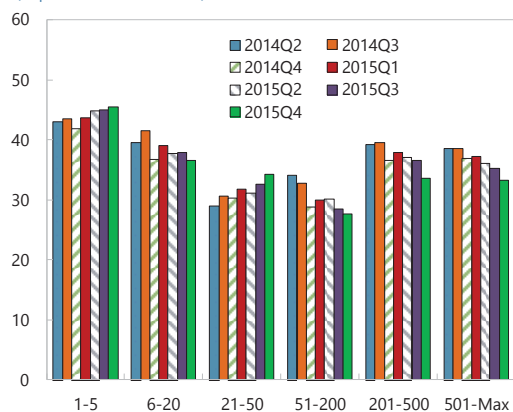
(In trillions of Russian rubles)



...while retail loans continue to decline, most prominently in the 21–50 segment.

Loans to Non-Financial Institutions

(In percent of total assets)



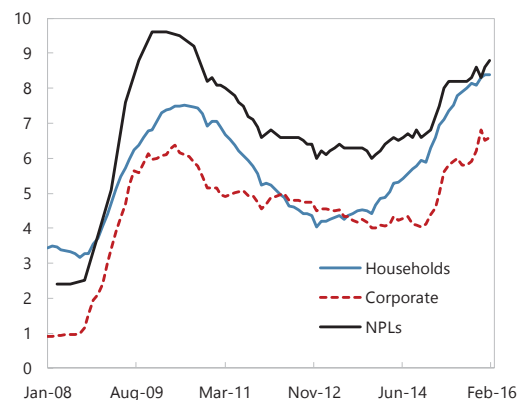
Sources: Authorities and IMF staff estimates.

Figure 8. Bank Asset Quality, 2008–15

NPLs remain lower than their 2008 peak...

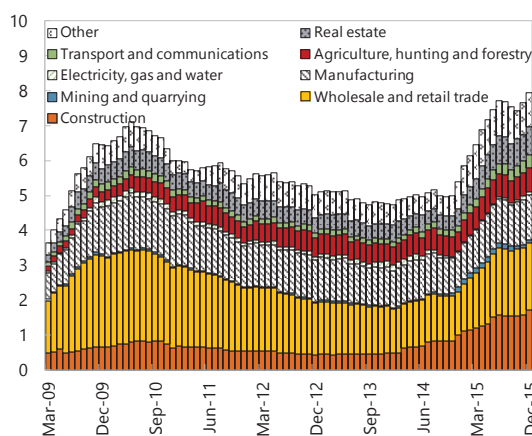
Overdue Loans and NPLs

(In percent of total loans)



Overdue loans in rubles have increased primarily in the construction and retail trade sectors...

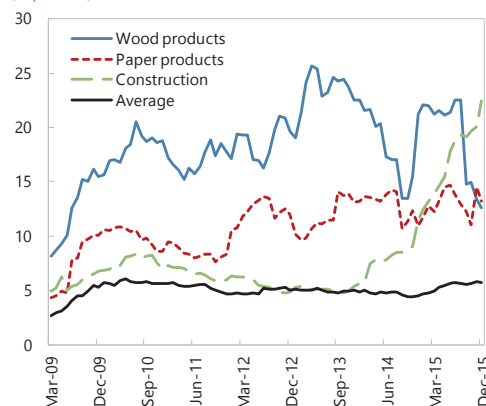
Ruble Overdue Loans to Total Loans by Sector



Nearly 25 percent of the construction portfolio is overdue...

Ruble Overdue Loans by Portfolio

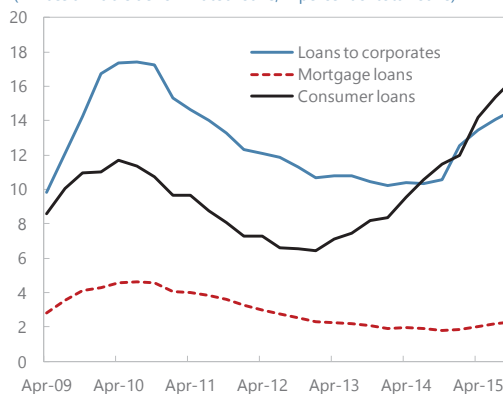
(In percent)



...although provisions are higher once FX loans, loans to FIs, and governmental institutions are excluded.

Provisions

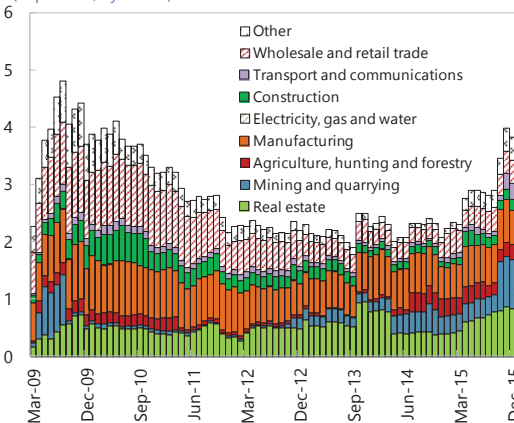
(In Russian ruble denominated loans; in percent of total loans)



...while overdue loans in FX have risen primarily in the real estate, agriculture, and mining sectors.

Foreign Exchange Overdue Loans to Total Loans

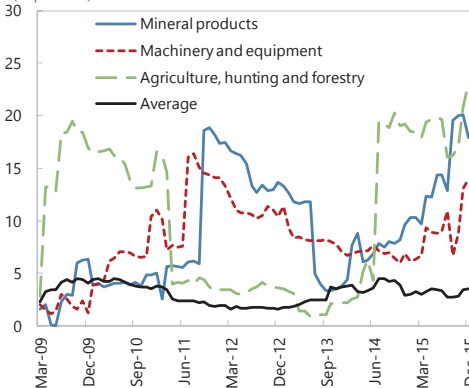
(In percent, by sector)



...while loans in FX show weak performance in agriculture, mining, and machinery and equipment.

Foreign Exchange Overdue Loans by Portfolio

(In percent)



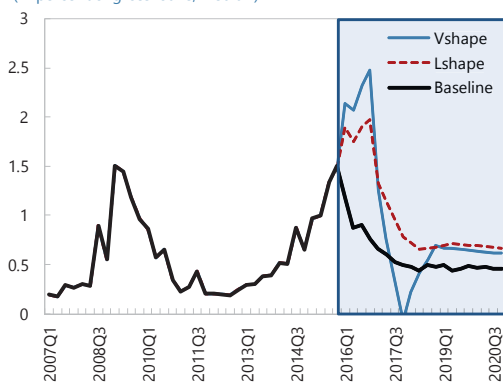
Source: Authorities and IMF staff estimates.

Figure 9. Stress Test Scenarios and Restructured Loans, 2013–16

Loan impairment charge increases as loan quality deteriorates...

Loan Impairment Charge

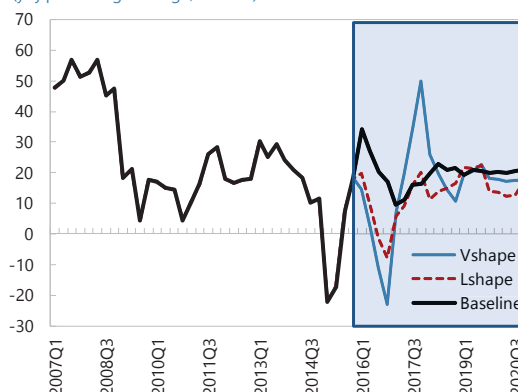
(In percent of gross loans, median)



...and interest income decreases due to shrinking margins.

Net Interest Income

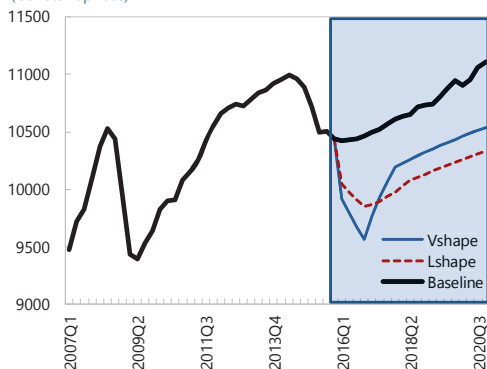
(yoy percentage change, median)



Output declines sharply, medium-term growth is modest...

Output Projections

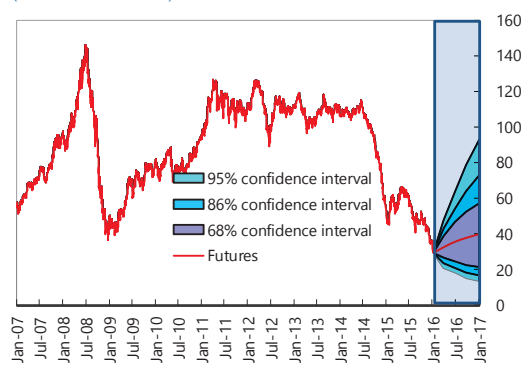
(Constant prices)



...reflecting the outlook for oil prices.

Brent Oil Price Prospects 1/

(In U.S. dollars a barrel)

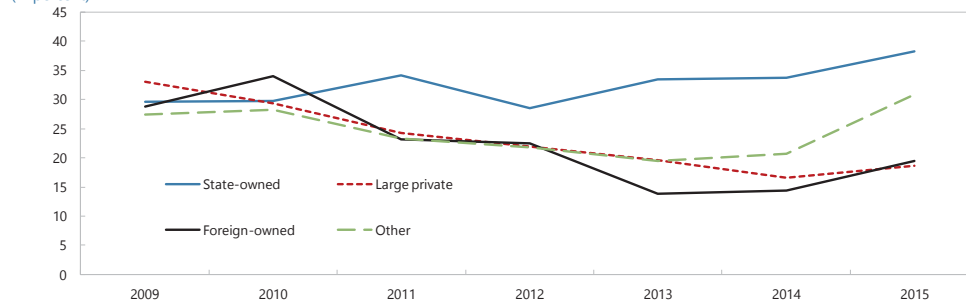


1/ Derived from prices of futures options on March 10, 2015.

The share of restructured loans has been increasing during the last two years.

Share of Restructured Loans in Large Loans

(In percent)

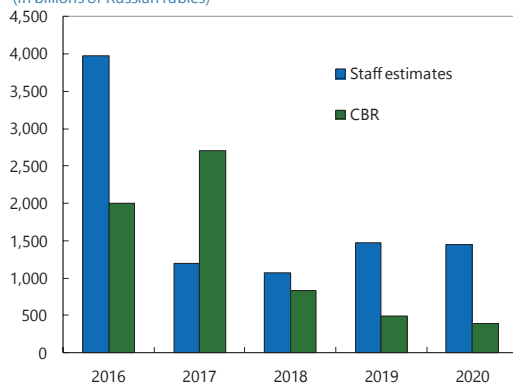


Sources: Authorities, Bloomberg, and IMF staff estimates.

Figure 10. Stress Test Results (V-Shaped Scenario)

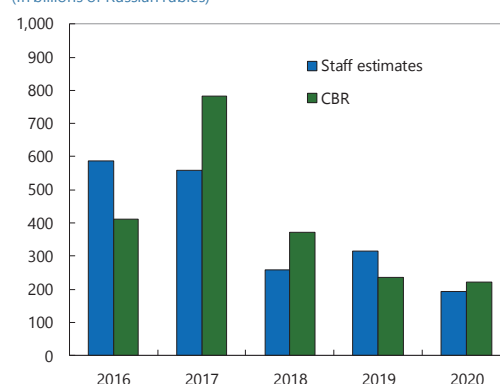
Credit losses peak in the first two years.

Credit Losses
(In billions of Russian rubles)



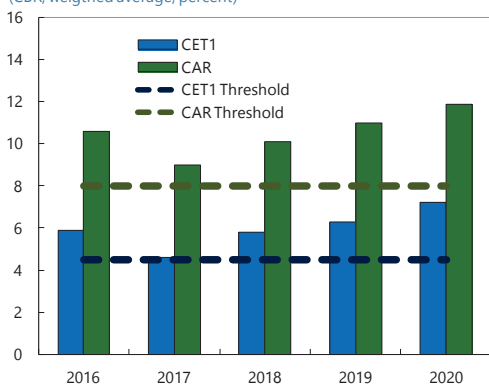
Capital deficits increases are similar in CBR's and staff's stress tests.

Capital Deficit Increase
(In billions of Russian rubles)



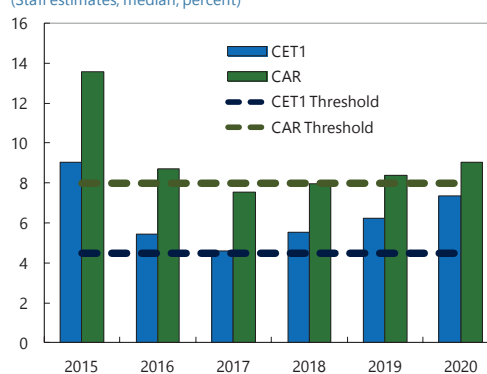
Average capital ratios (CBR) bottom out in 2017 and recover by 2020.

Capital Ratios
(CBR, weighed average, percent)



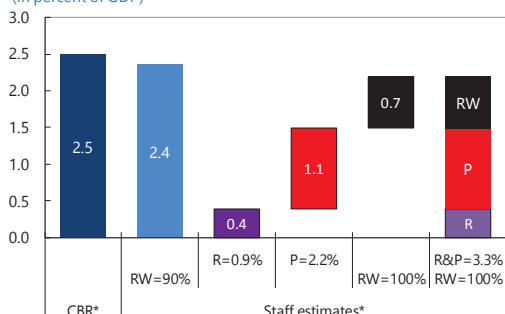
Median capital ratios (staff) breach total capital ratio threshold (CAR Threshold) in 2017, and recover slightly above by 2020.

Capital Ratios—Without Asset Quality Adjustments
(Staff estimates, median, percent)



Total capital deficit (staff) is about 2½ percent of GDP (CBR and staff), with additional capital charge of about 2 percent of GDP due to asset quality adjustments.

Total Capital Deficit
(In percent of GDP)



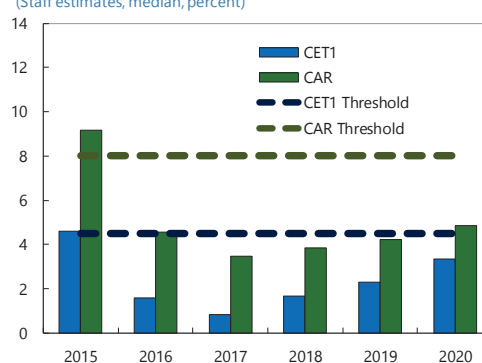
Note: R=Restructuring; P=Provisioning; RW=Risk Weight.

*Includes credit, market, interest, and liquidity risk.

**Covers about 80% of total banking assets.

When adjusting for forbearance, median capital ratios (staff) are more affected.

Capital Ratios—With Asset Quality Adjustments
(Staff estimates, median, percent)



Sources: Authorities and IMF staff estimates.

Table 1. Russian Federation: Selected Macroeconomic Indicators, 2013–21

	2013	2014	2015	2016	2017	2018	2019	2020	2021
	Projections								
	(Annual percent change)								
Production and prices									
Real GDP	1.3	0.7	-3.7	-1.2	1.0	1.2	1.5	1.5	1.5
Real domestic demand	0.9	-0.9	-10.0	-2.7	0.5	0.6	0.9	1.2	1.3
Consumption	3.6	1.1	-7.5	-2.6	0.0	0.1	0.5	0.9	1.1
Investment	-7.3	-8.0	-18.7	-2.8	2.0	2.0	2.0	2.0	2.0
Consumer prices									
Period average	6.8	7.8	15.5	7.5	5.7	4.6	4.0	4.0	4.0
End of period	6.5	11.4	12.9	6.6	5.2	4.0	4.0	4.0	4.0
GDP deflator	4.8	9.0	7.7	7.4	5.5	4.0	4.0	4.0	4.0
Unemployment rate	5.5	5.2	5.6	6.5	6.3	5.6	5.5	5.5	5.5
	(Percent of GDP)								
Public sector 1/									
General government									
Net lending/borrowing (overall balance)	-1.2	-1.1	-3.5	-3.7	-1.6	-1.1	0.0	0.4	0.4
Revenue	34.4	34.3	32.8	31.2	32.2	31.7	31.9	31.9	31.9
Expenditures	35.6	35.4	36.3	34.9	33.8	32.8	31.9	31.6	31.4
Primary balance	-0.6	-0.4	-2.7	-2.7	-0.4	0.2	1.3	1.7	1.7
Nonoil balance	-11.1	-11.5	-11.7	-10.0	-8.3	-8.0	-6.9	-6.5	-6.3
Nonoil primary structural balance	-11.3	-10.3	-10.8	-9.2	-8.2	-7.5	-6.3	-5.9	-5.8
Federal government									
Net lending/borrowing (overall balance)	-0.5	-0.4	-2.4	-3.2	-1.5	-1.2	-0.3	0.0	0.0
Nonoil balance	-9.8	-10.1	-9.8	-9.0	-7.5	-7.4	-6.5	-6.2	-6.1
	(Annual percent change)								
Money									
Base money	8.0	6.3	-4.3	4.6	5.4	5.9	6.3	6.4	6.4
Ruble broad money	14.6	2.2	11.5	6.8	7.7	8.3	8.6	8.7	8.7
Credit to the economy	17.2	22.8	8.9	7.4	8.5	8.9	9.1	9.2	9.2
External sector									
Export volumes	1.9	0.1	2.6	1.1	2.3	1.3	3.2	3.4	3.5
Oil	2.7	0.1	10.9	-1.3	-1.6	-1.9	0.5	0.5	0.5
Gas	9.9	-11.3	13.8	6.0	2.7	-4.9	0.0	0.0	0.0
Non-energy	5.8	7.9	-5.5	2.2	6.4	6.6	6.9	7.0	7.0
Import volumes	3.2	-6.9	-28.4	-3.6	2.7	3.5	4.1	4.5	5.8
	(Billions of U.S. dollars; unless otherwise indicated)								
External sector									
Total merchandise exports, f.o.b	523.3	497.8	339.6	299.0	332.2	344.5	366.8	388.1	409.4
Total merchandise imports, f.o.b	-341.3	-308.0	-194.0	-180.1	-185.9	-193.5	-202.9	-213.3	-227.2
External current account	34.1	59.5	65.8	51.3	69.3	81.0	89.1	98.7	104.9
External current account (percent of GDP)	1.5	2.9	5.0	4.0	4.9	5.5	5.7	6.0	6.0
Gross international reserves									
Billions of U.S. dollars	509.6	385.5	368.4	373.1	387.8	415.2	450.0	491.9	535.1
Months of imports 2/	13.0	10.8	15.7	17.2	17.3	17.8	18.4	19.1	19.5
Percent of short-term debt	251	302	478	257	274	300	319	352	410
Memorandum items:									
Nominal GDP (billions of rubles)	71,017	77,945	80,804	85,722	91,376	96,186	101,582	107,213	113,186
Nominal GDP (billions of U.S. dollars)	2,231	2,031	1,326	1,270	1,410	1,477	1,569	1,656	1,738
Exchange rate (rubles per U.S. dollar, period ave)	31.8	38.4	60.9	67.5	64.8	65.1	64.7	64.8	65.1
Oil exports (billions of U.S. dollars)	283.0	269.8	156.2	127.8	145.6	148.1	155.7	161.4	166.3
World oil price (U.S. dollars per barrel)	104.1	96.2	50.8	42.2	48.8	50.5	52.8	54.6	56.0
Urals crude oil spot price (U.S. dollars per barrel)	106.3	94.5	51.0	42.2	48.9	50.7	53.1	55.0	56.4
Oil Extraction (millions of tons)	521.7	525.1	525.0	525.0	525.0	525.0	525.0	525.0	525.0
Real effective exchange rate (average percent ch	1.8	-8.5	-17.4	-2.3	7.4	2.1	2.3	1.4	1.6

Sources: Russian authorities; and IMF staff estimates.

1/ Cash basis.

2/ In months of imports of goods and non-factor services.

Table 2. Russian Federation: Financial Stability Indicators, 2013–16
(In percent)

	2013	2014	2015	2016 March
Financial Soundness Indicators				
Capital adequacy				
Capital to risk-weighted assets	13.5	12.5	12.7	12.4
Core capital to risk-weighted assets	9.1	9.0	8.5	8.4
Credit risk				
NPLs to total loans	6.0	6.7	8.3	9.2
Loan loss provisions to total loans	5.9	6.5	7.8	8.4
Large credit risks to capital	204.3	245.5	254.4	248.1
Distribution of loans provided by credit institutions				
Agriculture, hunting and forestry	4.3	3.5	3.5	3.6
Mining	3.1	4.2	4.9	5.5
Manufacturing	13.6	15.5	17.1	16.9
Production and distribution of energy, gas and water	2.5	2.5	2.5	2.5
Construction	5.6	5.3	4.8	4.8
Wholesale and retail trade	13.7	13.3	11.3	11.0
Transport and communication	4.2	4.4	4.2	4.3
Other economic activities	21.1	21.2	24.1	23.9
Individuals	32.0	30.1	27.5	27.6
<i>Of which: mortgage loans</i>	8.5	9.4	10.1	12.5
Geographical distribution of interbank loans and deposits				
Russian Federation	39.7	53.6	54.0	58.9
United Kingdom	23.8	13.9	12.3	11.1
United States	6.8	4.9	4.5	4.7
Germany	0.6	0.4	0.8	1.0
Austria	7.3	7.3	4.9	4.1
France	1.9	1.8	1.8	2.4
Italy	0.1	0.0	0.0	0.1
Cyprus	4.7	4.9	9.2	6.2
Netherlands	1.5	1.3	0.8	0.4
Other	13.6	11.8	11.8	11.0
Liquidity				
Highly liquid assets to total assets	9.9	10.4	10.6	11.6
Liquid assets to total assets	20.5	22.0	24.6	22.8
Liquid assets to short-term liabilities	78.7	80.4	139.3	121.8
Ratio of client's funds to total loans	98.7	92.8	59.0	59.4
Return on assets	1.9	0.9	0.3	0.4
Return on equity	15.2	7.9	2.3	3.4
Balance Sheet Structure, in percent of assets				
Total asset growth rate	16.0	35.2	6.9	9.0
Asset side				
Accounts with CBR and other central banks	3.9	4.2	3.0	3.6
Interbank lending	8.9	8.9	10.4	10.7
Securities holdings	13.6	12.5	14.2	14.6
Liability side				
Funds from CBR	7.7	12.0	6.5	5.0
Interbank liabilities	8.4	8.5	8.5	9.5
Individual deposits	29.5	23.9	28.0	27.8

Sources: Authorities and IMF staff calculations.

Annex II. 2011 FSAP Stability Module Recommendations Status

Many key recommendations of the 2011 FSAP have been addressed

At the time of the last FSAP, the economy and financial sector were on the road to recovery following the GFC. The 2011 FSAP noted the authorities' decisive and broad-based policy response, which successfully supported financial stability during the crisis. Banks' profitability was improving and stress tests suggested resilience to a variety of sizeable shocks. However, progress toward a more competitive banking system has been slow, as governance continued to be weak and concentration and moral hazard increased.

Since then, the authorities have addressed several of the key 2011 FSAP recommendations:

- The scope of the regulatory parameter has been widened to banking groups and CBR has been granted information powers in relation to holding companies; the CBR has also been granted the power to impose standards for risk management of banks and banking groups; to use professional judgment in applying laws and regulations; and share without restrictions information with other domestic authorities and foreign supervisors.
- Unified legislation was adopted for the resolution of all banks making permanent the temporary resolution powers introduced in 2008, improving coordination (domestic and cross border) and providing greater powers to sanction owners and managers of failing institutions. The legislation does not apply to bank holding companies.
- The authorities have strengthened the macroprudential policy framework, including the establishment of a high-level inter-agency advisory body on systemic risk issues and the CBR's internal FSC.
- The CBR has been empowered to appoint a provisional administrator and wind down distressed securities firms. These powers need to be strengthened further.